

Delivering Value for Endo Health Business Review

May 14, 2014

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

The Teams

Endo Pharmaceuticals Team

- Brian Lorte — President Brand Pharmaceuticals
- Kevin Obrien — Senior Director Managed Markets, Trade & Distribution
- Lisa Walker — Associate Director CS & Distribution
- Cesar Penaherrera — VP Corporate Procurement
- Jeanne Brackens — CS/Distribution Specialist

UPS Team

- David Quintilio — VP US Distribution
- David McLean — VP Healthcare Distribution
- Warren Olson — VP Business Dev. Distribution
- Jennifer Lancer — Director Enterprise Healthcare
- Kim Kohler — Senior Manager OTC Operations
- Jared Ragains — Manager Trans Management
- Peter Anastasi — Director Freight Forwarding
- Earl Baker — Director Small package



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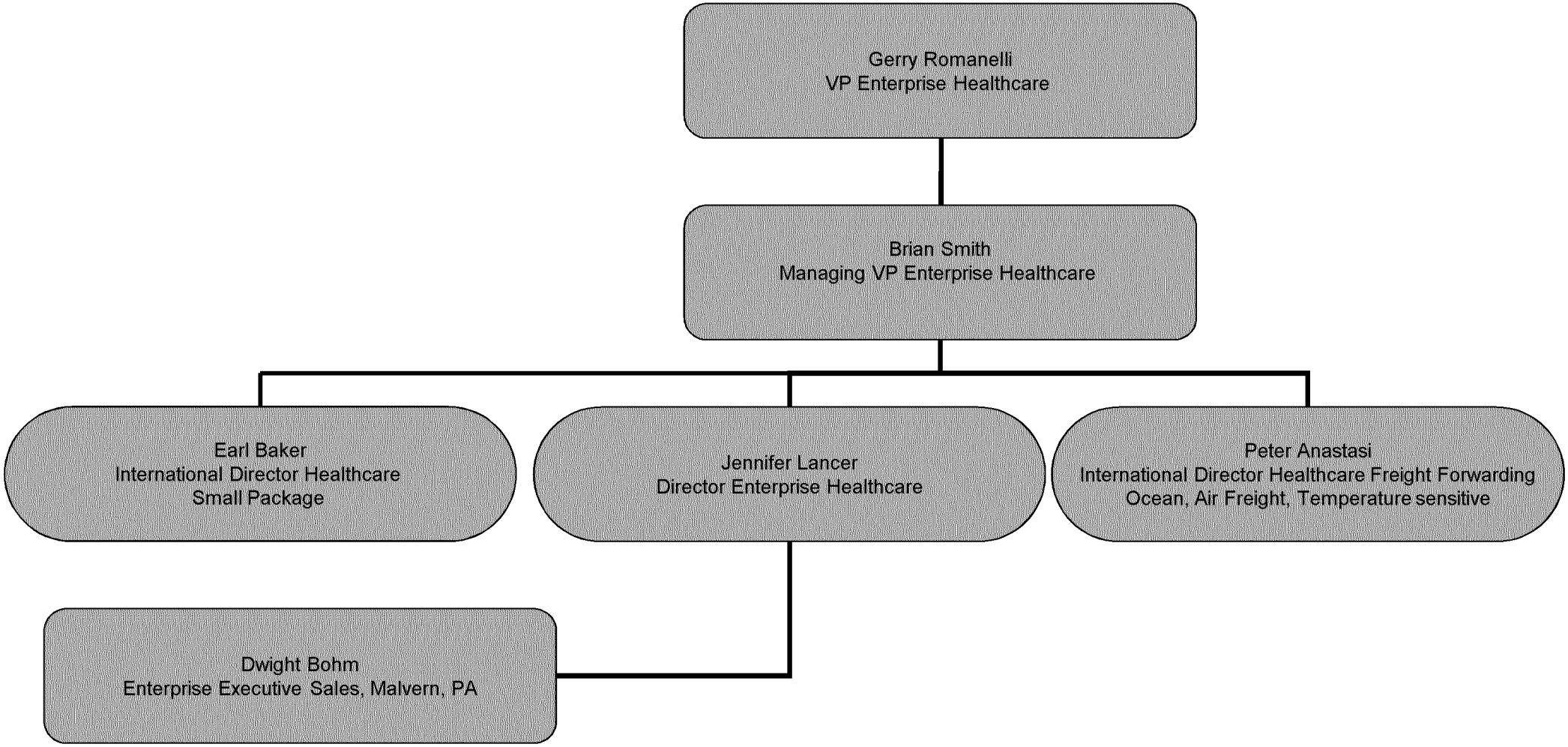
Agenda

- UPS News
- Endo News
- The Teams
- Metrics
  - Small package
  - Order to Cash
  - Transportation Management
  - Distribution
    - Memphis, Harrisburg
- Overview of Temp True solution portfolio
- Next steps; discussion timeline of “go-live” transportation, distribution

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UPS Partnership Slide Global Enterprise Sales



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Healthcare Coverage Expands

Distribution Network Provides Broader Coverage in Europe for Greater Patient Access

- UPS® has acquired Polar Speed, a leader in active temperature-controlled pharmaceutical supply chain solutions in the United Kingdom.
  - Headquartered in Leighton Buzzard, near London, U.K., the company has three warehousing facilities in London as well as eleven forward stocking locations throughout the U.K.
  - The company's facilities provide about 38,000 ft^2 (more than 3,700 m^2) healthcare-dedicated warehouse space, licensed by the Medicines and Healthcare Regulatory Agency (MHRA)-licensed, and ISO 9001:2008-certified
  - Its experienced team has a focus on quality assurance compliance, unique active transportation solutions, and is well positioned in the U.K. home care market — an excellent fit with UPS

POLAR SPEED THERMOLOGISTICS

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Hi-tech Transportation
Dual-Zone Vehicle Fleet Supports Sustainable Logistics

- Polar Speed is the premier transportation network in the U.K. for next day delivery of pharmaceutical products.
- Polar Speed's more than 118 dual temperature zone (2-8°C and 15–25°C) vehicles offer active (vs. passive) cold chain transportation in compliance with MHRA standards.
- These vehicles provide efficient, environmentally-friendly transportation, moving pharmaceuticals that must be kept at strictly controlled temperatures, including controlled room temperature.
- Polar Speed's fleet enables the safe cold chain distribution and delivery of pharmaceuticals to hospitals, pharmacies, doctors' offices and patients at home, right across the U.K.



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Built for Speed, Flexibility and Efficiency

Investing in Healthcare

- UPS®'s global integrated logistics network enables you to:
  - Access more than 80 percent of the world's healthcare consumption on one transportation and technology platform
  - Save time, reduce complexities and limit hand-offs by reducing the number of providers to manage and integrate systems
  - Increase flexibility to scale up or down with the needs of the market or your business, without significant capital investment in facilities and people
  - Execute consistent, reliable service for a better customer experience

- More than 6.4 million ft^2 (nearly 600,000 sq. meters) of cGMP- or CGDP-compliant, dedicated healthcare distribution space globally
- 45 dedicated healthcare facilities worldwide

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Global Healthcare Integrated Distribution Network



AMERICAS
Atlanta, GA
Dallas, TX
Harrisburg, PA
Louisville, KY
Louisville, KY Air Hub
Memphis, TN
Miami, FL Air Hub
Mira Loma, CA
Newark, DE
Ontario, CA Air Hub
Philadelphia, PA Air Hub
Reno, NV
Suwanee, GA
Burlington, ON
Calgary, AB
Mount Pearl, NL
Toronto, ON
Winnipeg, MB
Bogota, CO
Goiania, BR
Mexico City, MX
San Juan, PR
Santiago, CL

EUROPE
Budapest, HU
Cologne Air Hub, DE
Leighton Buzzard, UK
Madrid, ES
Milan, IT
Rome, IT
Roermond, NL
Venlo, NL

ASIA PACIFIC
Hangzhou, CN
Int'l Air Hub – CN
Intra-Asia Air Hub – CN
Shanghai, CN
Singapore, SG
Sydney, AU

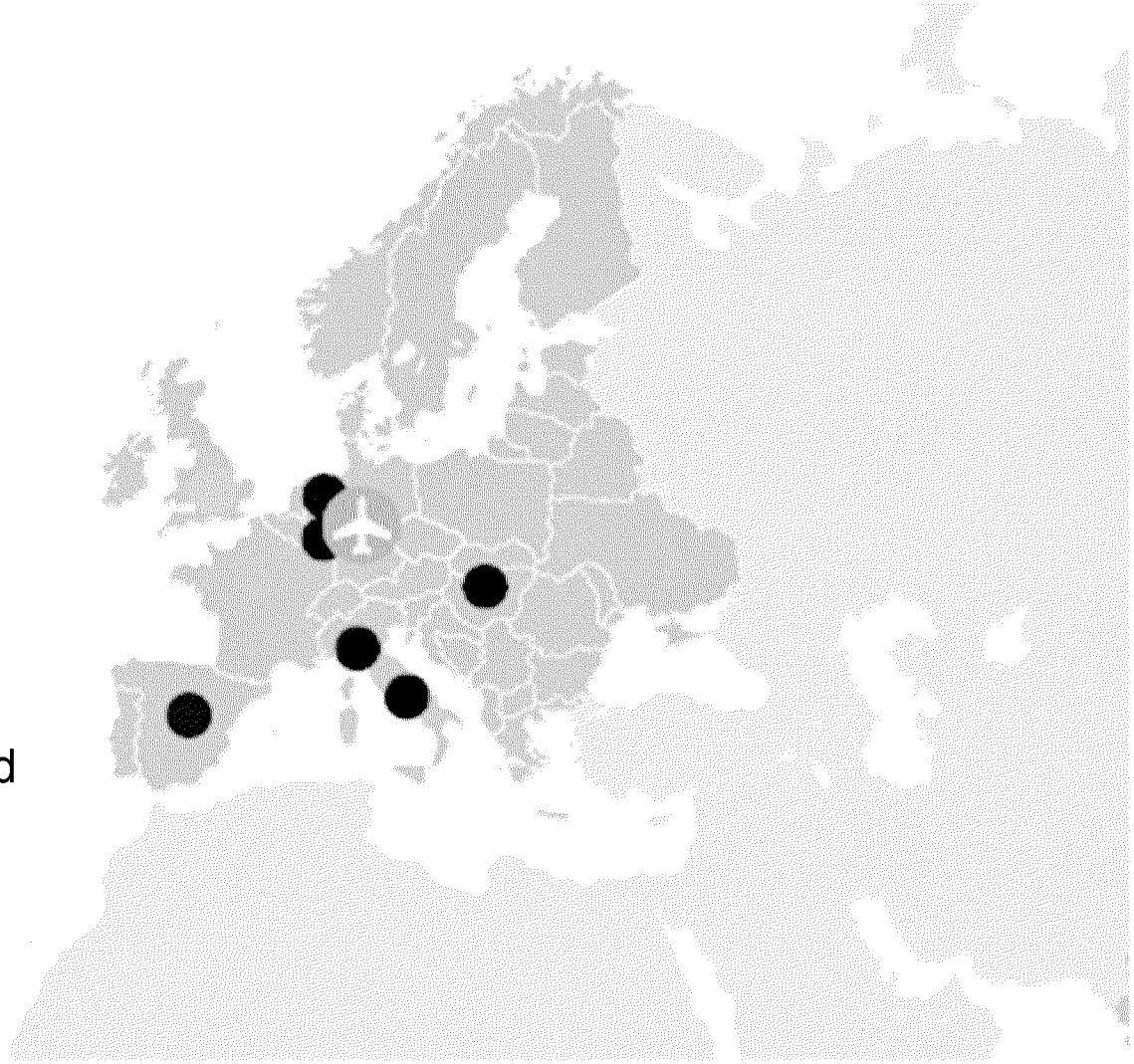
- Network of 45 facilities
- More than 6.4 million ft^2 (nearly 600,000 m^2)

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Compliant Healthcare Storage and Distribution Across Europe

- New U.K. network extends capabilities throughout the United Kingdom
- Netherlands Campus is strategically located in the heart of Europe for access to Western and Northern Europe
- Italy distribution centers are situated to serve the local Italian market and Southern Europe
- UPS® distribution facilities in Budapest, Hungary, serve the growing Central and Eastern European market
- Madrid, Spain, facility is located for conducting business across Europe, in particular, the Iberian Peninsula



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UPS® in Europe

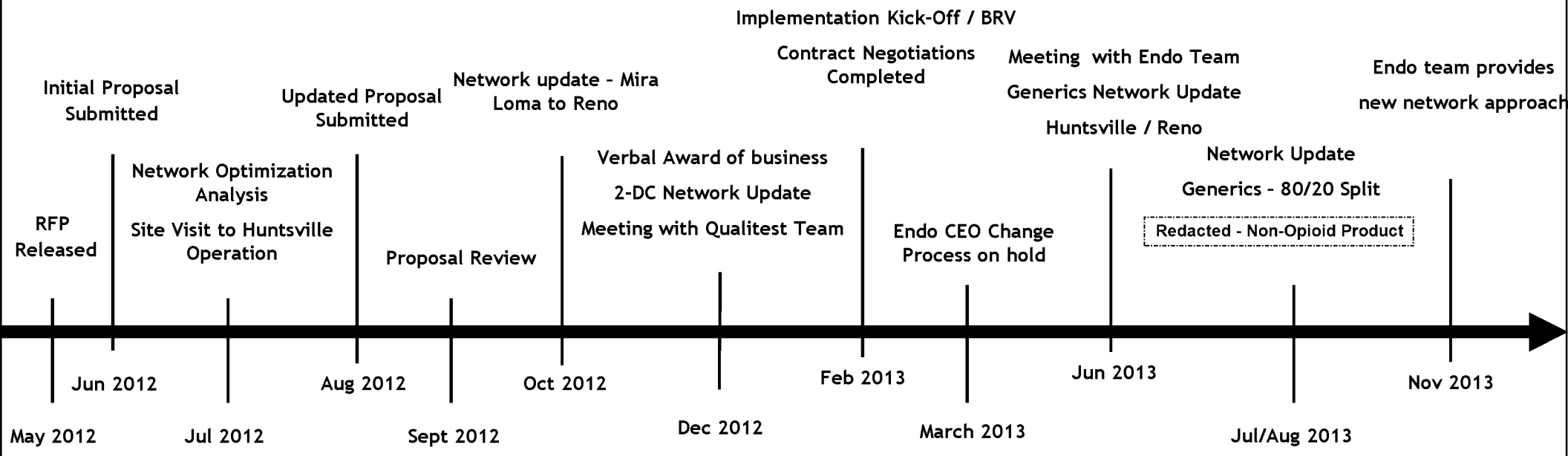
Region headquarters:	Brussels, Belgium
2012 delivery volume:	4.1 billion packages and documents
Service area:	60 countries and territories (more than 120 including the Middle East and Africa)
Employees:	43,000 in Europe; nearly 400,000 worldwide
Delivery fleet:	Approximately 8,800 (package cars, vans and tractors)
Operating facilities:	Approximately 460 (offices, package centers, hubs, gateway offices, distribution centers and warehouses)
Daily flight segments:	Intra-Europe 251; International 107
Europe air hub:	Cologne/Bonn Airport, Germany
UPS access points:	Approximately 2,500 (UPS centers, MBE centers, UPS drop-off locations and UPS Access Point™ locations)

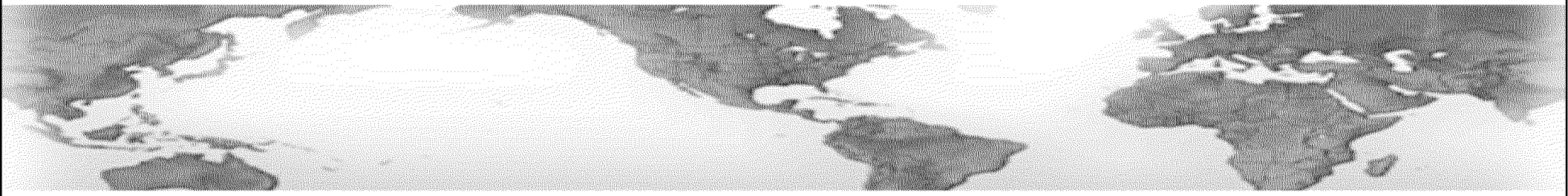
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Endo Supply Chain Re-Design

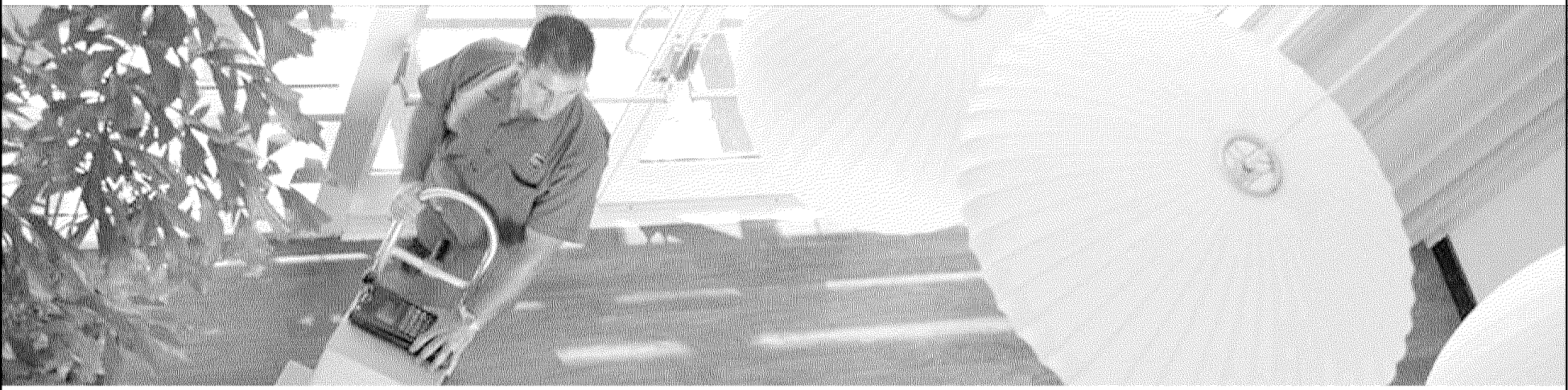
Key Events





Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Package Results
Volume, Net Spend & Accessorials



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Endo Pharmaceuticals
Package Volume & Net Spend by Product
Annual, 2012 vs. 2013

	Volume		Net Spend	
Product	2012	2013	2012	2013
NEXT DAY AIR	29,357	18,169	$1,311,588	$872,025
GROUND	56,496	55,861	$592,767	$593,036
WW EXPRESS	179	265	$13,006	$25,638
2ND DAY AIR	24,143	14,446	$772,453	$601,060
3 DAY SELECT	415	204	$18,134	$15,937
STANDARD GROUND	13	51	$389	$1,141
WW EXPEDITED	32	14	$4,681	$2,772
UPS EXPRESS CRITICAL	1	0	$796	$0
Totals:	110,636	89,010	$2,713,815	$2,111,609

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Endo Pharmaceuticals
Package Volume & Net Spend by Location
Annual, 2012 vs. 2013

	Volume		Net Spend	
Location	2012	2013	2012	2013
647A3R - MEMPHIS, TN	21,461	20,903	$1,095,586	$1,113,704
1552X5 - WEST CALDWELL, NJ	25,658	34,483	$265,668	$360,977
77AF52 - NEWARK, DE	33,951	18,037	$683,826	$292,201
8AT669 - MALVERN, PA	6,567	5,460	$189,237	$158,135
07V553 - KING OF PRUSSIA, PA	6,181	2,338	$168,107	$48,385
1846A1 - NEWARK, DE	2,244	2,424	$56,809	$35,923
W8264E - HARRISBURG, PA	283	1,413	$5,357	$18,965
6092AY - AUSTIN, TX	379	914	$6,681	$17,666
01X6E1 - CRANBURY, NJ	627	509	$19,459	$13,438
953022 - SAN JOSE, CA	492	565	$13,425	$11,443
ALL OTHERS	12,793	1,964	$209,659	$40,773
Totals:	110,636	89,010	$2,713,815	$2,111,609

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Endo Pharmaceuticals
Package Top Accessorials by Net Spend
Annual, 2012 vs. 2013

	Accessorial Spend	
Description	2012	2013
FUEL SURCHARGE	$256,211	$157,024
HAZMAT-CLASS 1-8 INACCESSIBLE	$150	$115,913
CUSTOM DC SIGNATURE RESPONSE	$113,015	$103,618
HAZMAT-CLASS 9 INACCESSIBLE	$181,800	$95,438
ADDRESS CORRECTION	$11,407	$19,938
ACCOUNT MAINTENANCE (DLY/WKLY SVC)	$14,630	$18,095
DECLARED VALUE	$13,779	$10,558
FIRST WEEKEND DAY-SATURDAY-DELIVERY	$9,195	$9,285
GOV DUTY AMOUNT	$908	$2,502
TRANSIT/TRANSFER FEE	$114	$1,979
ALL OTHERS	$10,177	$6,893
Totals:	$611,386	$541,242

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Endo Pharmaceuticals
Package Accessorials Net Spend by Location
Annual, 2012 vs. 2013

	Accessorial Spend	
Location	2012	2013
647A3R - MEMPHIS, TN	$287,747	$295,888
1552X5 - WEST CALDWELL, NJ	$108,699	$134,345
77AF52 - NEWARK, DE	$75,674	$33,989
8AT669 - MALVERN, PA	$36,173	$32,948
W8264E - HARRISBURG, PA	$2,647	$5,871
07V553 - KING OF PRUSSIA, PA	$19,736	$4,625
1846A1 - NEWARK, DE	$12,625	$4,522
01X6E1 - CRANBURY, NJ	$5,407	$3,993
6092AY - AUSTIN, TX	$1,076	$2,608
8E24A8 - WESTBURY, NY	$3,308	$2,551
ALL OTHERS	$58,294	$19,901
Totals:	$611,386	$541,242

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Package Results
On-Time Performance



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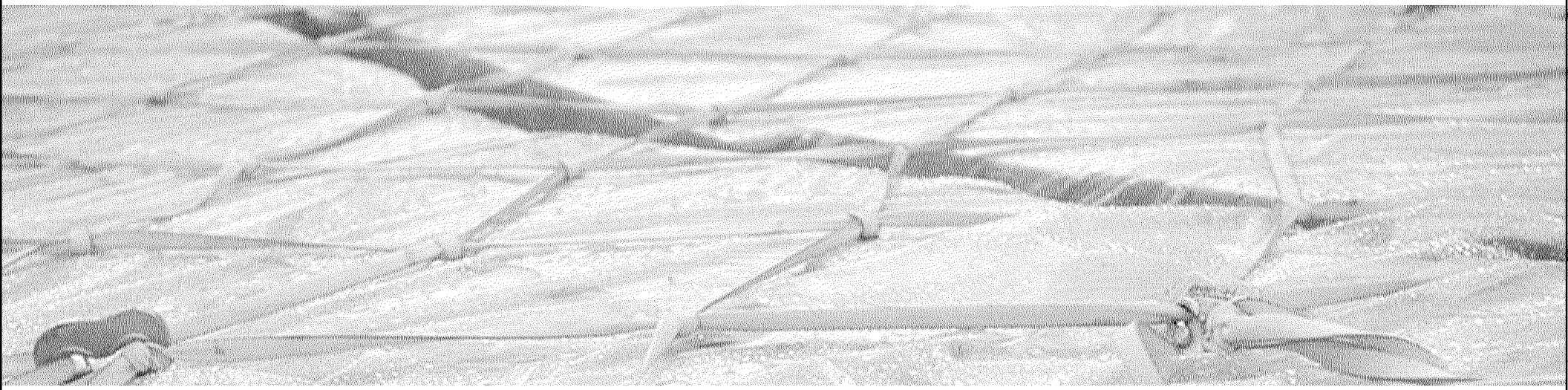
Endo Pharmaceuticals
Package On-Time Performance by Product
Annual, 2012 vs. 2013

	Packages Measured		Total On-Time		Percent On-Time	
Product	2012	2013	2012	2013	2012	2013
NEXT DAY AIR	23,425	15,368	23,089	15,095	98.6%	98.2%
NEXT DAY AIR SAVER	1,536	1,458	1,517	1,446	98.8%	99.2%
NEXT DAY EARLY AM	384	220	371	211	96.6%	95.9%
GROUND	47,137	52,878	46,730	52,302	99.1%	98.9%
INTERNATIONAL EXPRESS SAVER	266	248	263	246	98.9%	99.2%
INTERNATIONAL EXPRESS	88	113	88	111	100.0%	98.2%
SECOND DAY AIR	20,776	13,903	20,578	13,718	99.0%	98.7%
SECOND DAY EARLY AM	153	111	153	110	100.0%	99.1%
THREE DAY SELECT	458	554	457	551	99.8%	99.5%
INTERNATIONAL STANDARD	2	16	2	16	100.0%	100.0%
INTERNATIONAL EXPRESS PLUS	22	20	21	19	95.5%	95.0%
INTERNATIONAL EXPEDITED	36	94	36	92	100.0%	97.9%
Totals:	94,283	84,983	93,305	83,917	99.0%	98.7%

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Freight Forwarding Results
Volume, Net Spend & On-Time Performance



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Endo Pharmaceuticals
Freight Forwarding Volume & Net Spend by Service Category
Annual, 2012 vs. 2013

	Shipments		Billed Weight (lbs)		Total Spend	
Description	2012	2013	2012	2013	2012	2013
INTERNATIONAL AIR FREIGHT	52	42	2,440,913	1,178,040	$8,109,033	$3,512,782
NORTH AMERICA AIR FREIGHT	2	5	1,169	4,190	$2,934	$8,260
OCEAN FREIGHT	10	136	195,107	2,652,480	$112,406	$1,689,058
CUSTOMS BROKERAGE SERVICES	3	1	33,226	8,719	$24,974	$77,220
DISTRIBUTION SERVICES	0	0	0	0	$8,784,629	$8,153,313
Totals:	67	184	2,670,415	3,843,429	$17,033,977	$13,440,633

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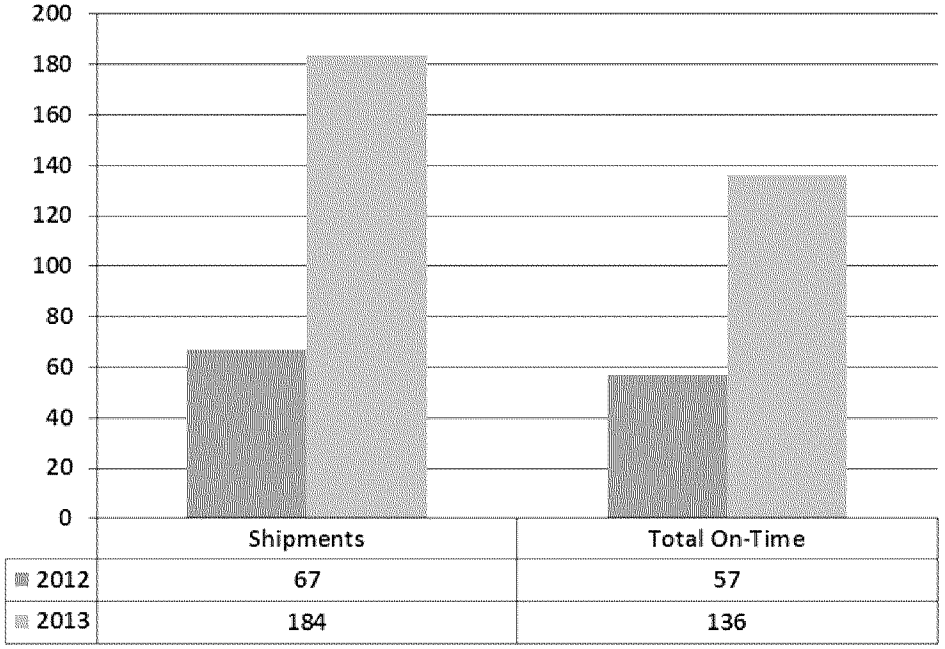
Endo Pharmaceuticals
Freight Forwarding Volume & Net Spend by Service Level
Annual, 2012 vs. 2013

	Shipments		Billed Weight (lbs)		Total Spend	
Service Level	2012	2013	2012	2013	2012	2013
AIR FREIGHT CONSOLIDATED	11	7	3,735	2,487	$10,743	$3,357
OCEAN FCL	10	136	195,107	2,652,480	$112,406	$1,689,058
OCEAN CUSTOMS BROKERAGE	3	1	33,226	8,719	$2,736	$987
AIR FREIGHT DIRECT	41	35	2,437,178	1,175,553	$8,098,290	$3,509,425
3 DAY FREIGHT	1	3	44	1,102	$42	$779
2ND DAY AIR FREIGHT	1	0	1,125	0	$2,892	$0
NEXT DAY AIR FREIGHT	0	2	0	3,088	$0	$7,480
Totals:	67	184	2,670,415	3,843,429	$8,227,109	$5,211,086

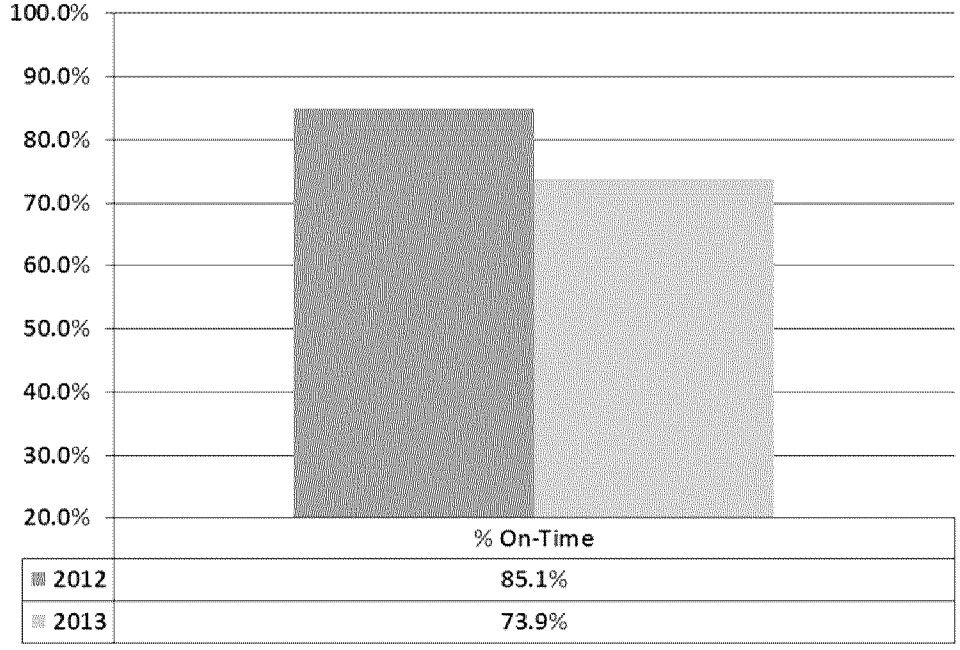
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Endo Pharmaceuticals
Freight Forwarding On-Time Performance Summary
Annual, 2012 vs. 2013



	Shipments	Total On-Time
2012	67	57
2013	184	136



	% On-Time
2012	85.1%
2013	73.9%

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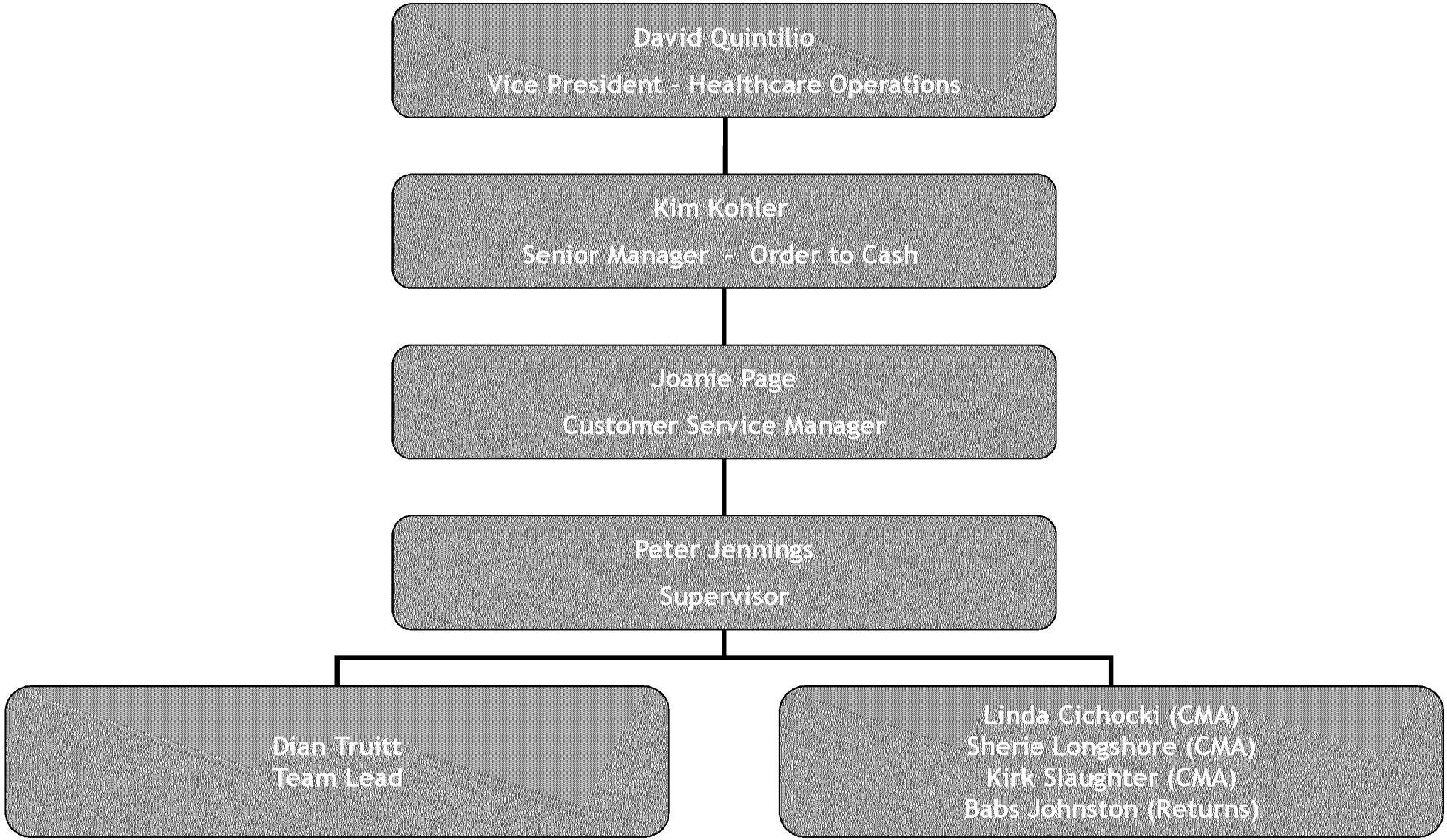
Customer Service



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Newark Customer Service Org Chart

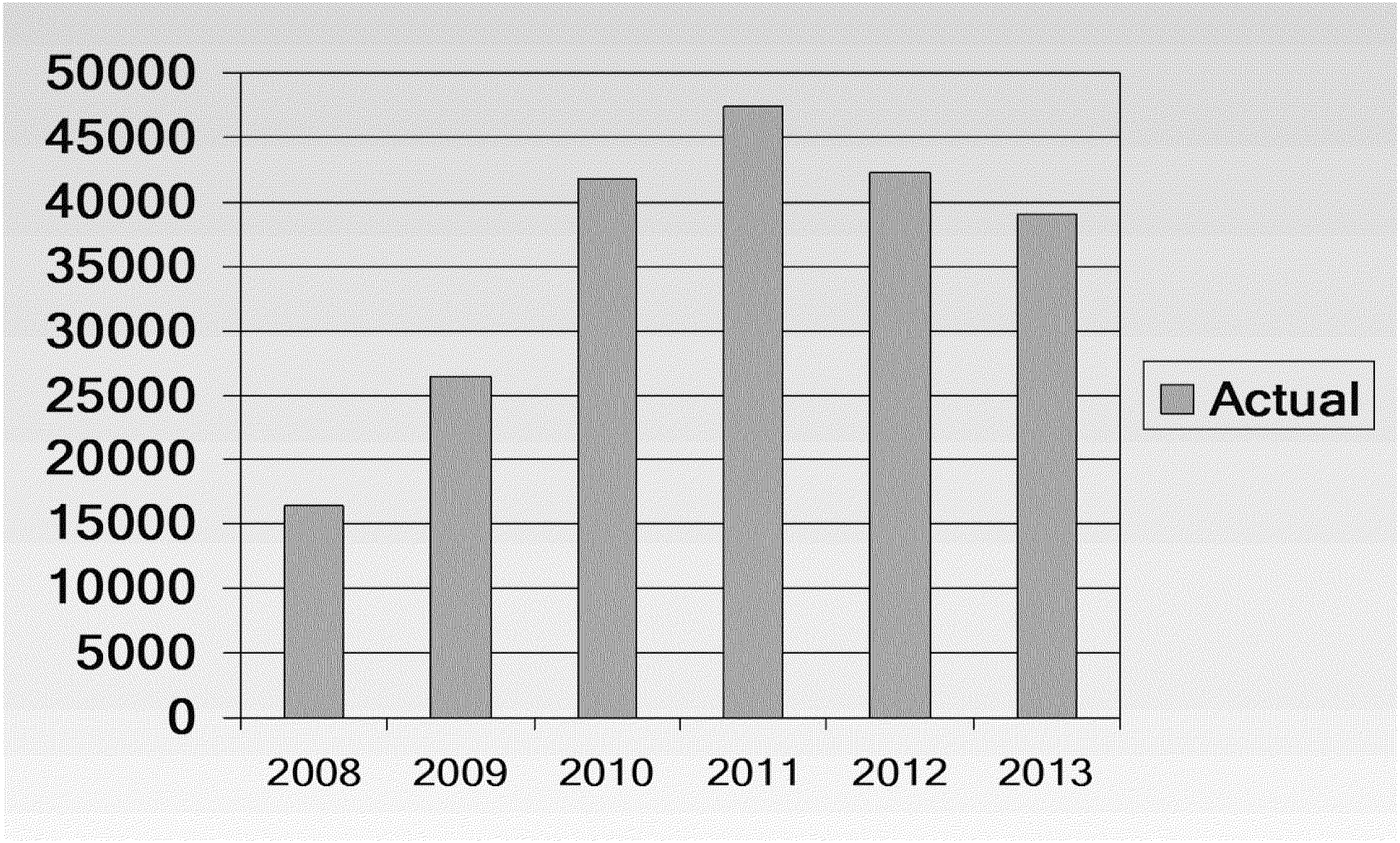


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Redacted - Non-Opioid Product

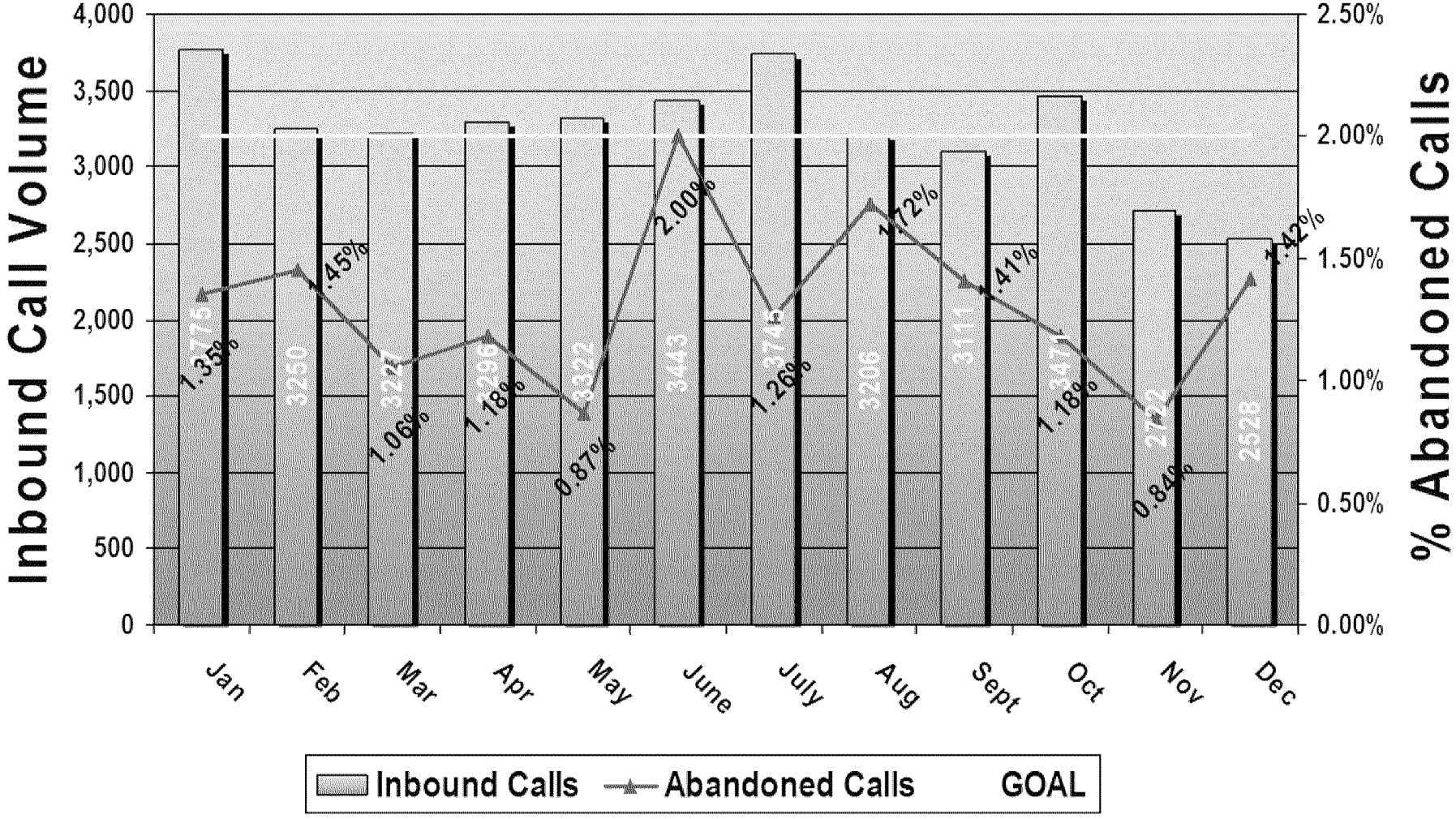
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Inbound Calls – Yearly Comparison



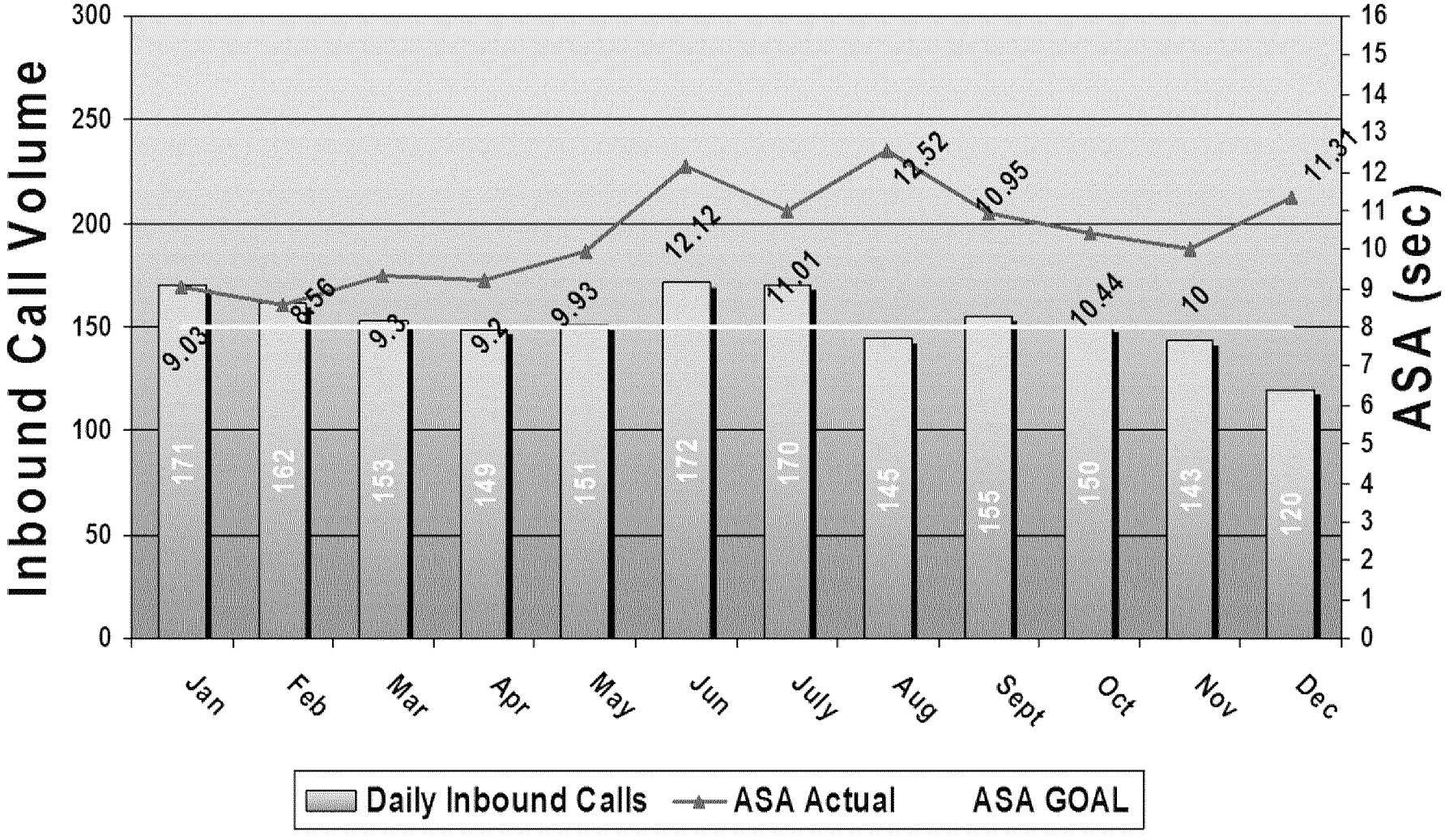
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Overall Abandoned Calls



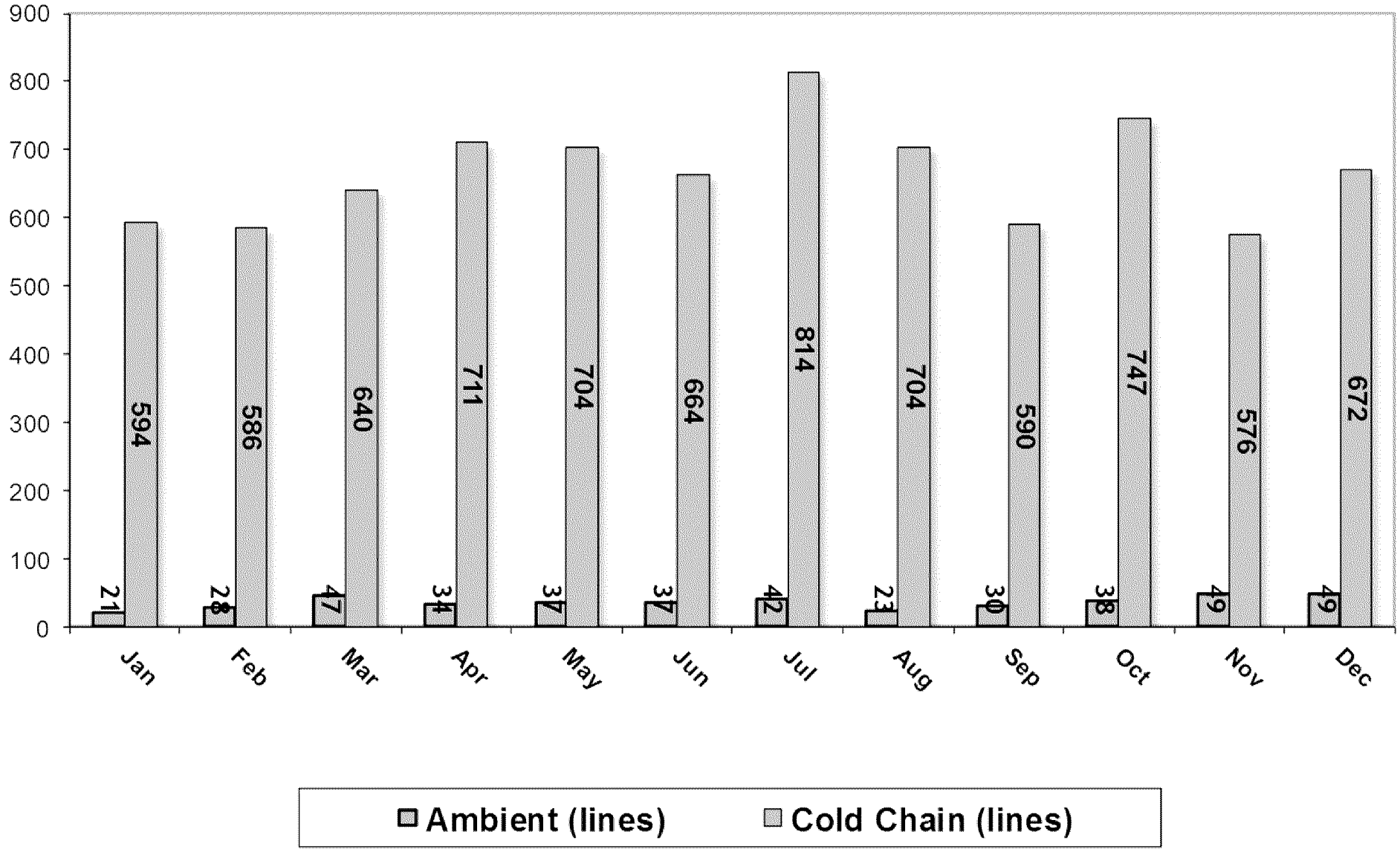
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Daily Average Speed of Answer (ASA)



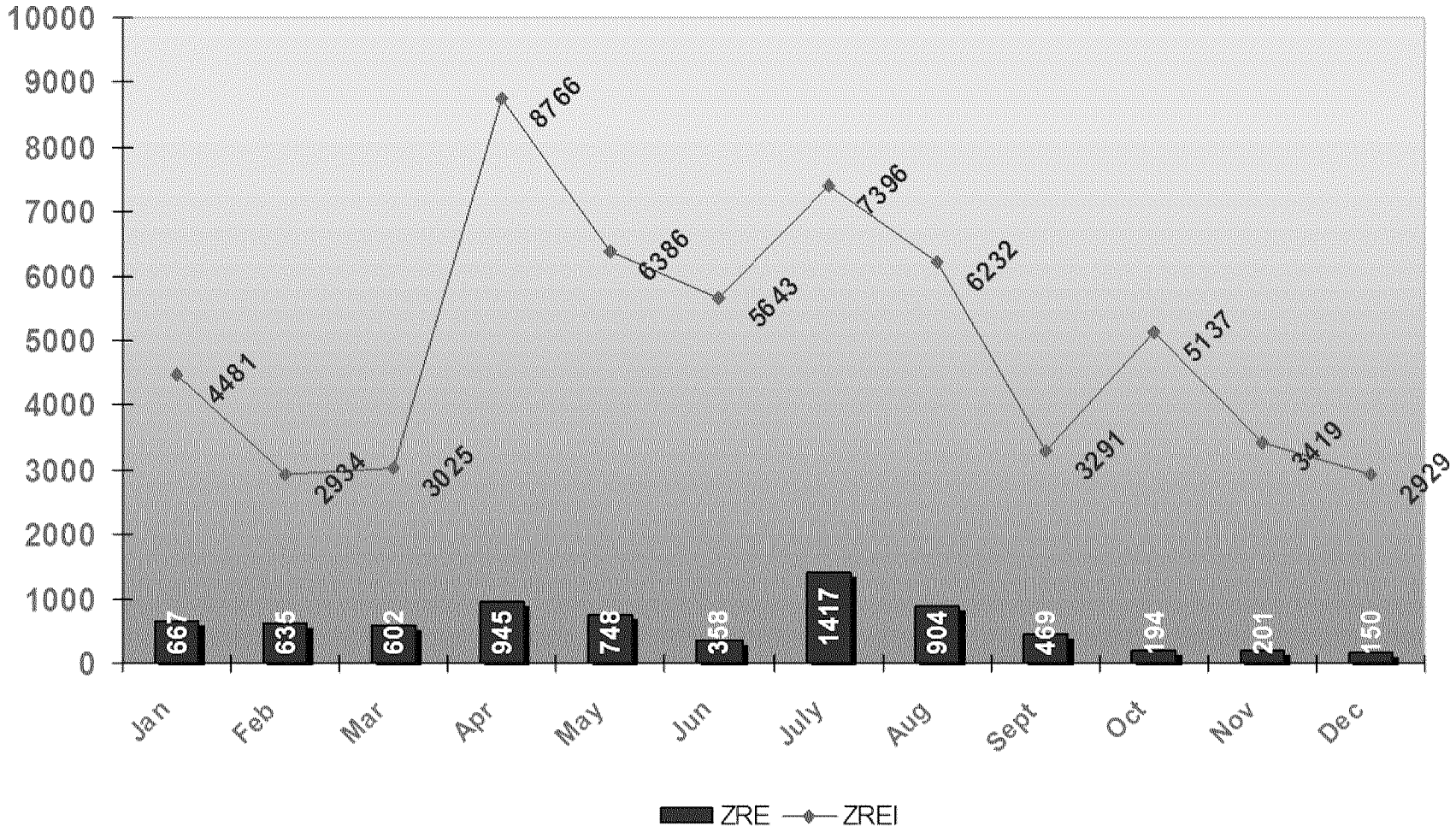
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Manual Orders (includes Cold Chain Orders)



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Destructions:
ZRE (Direct) vs. ZREI (Indirect)



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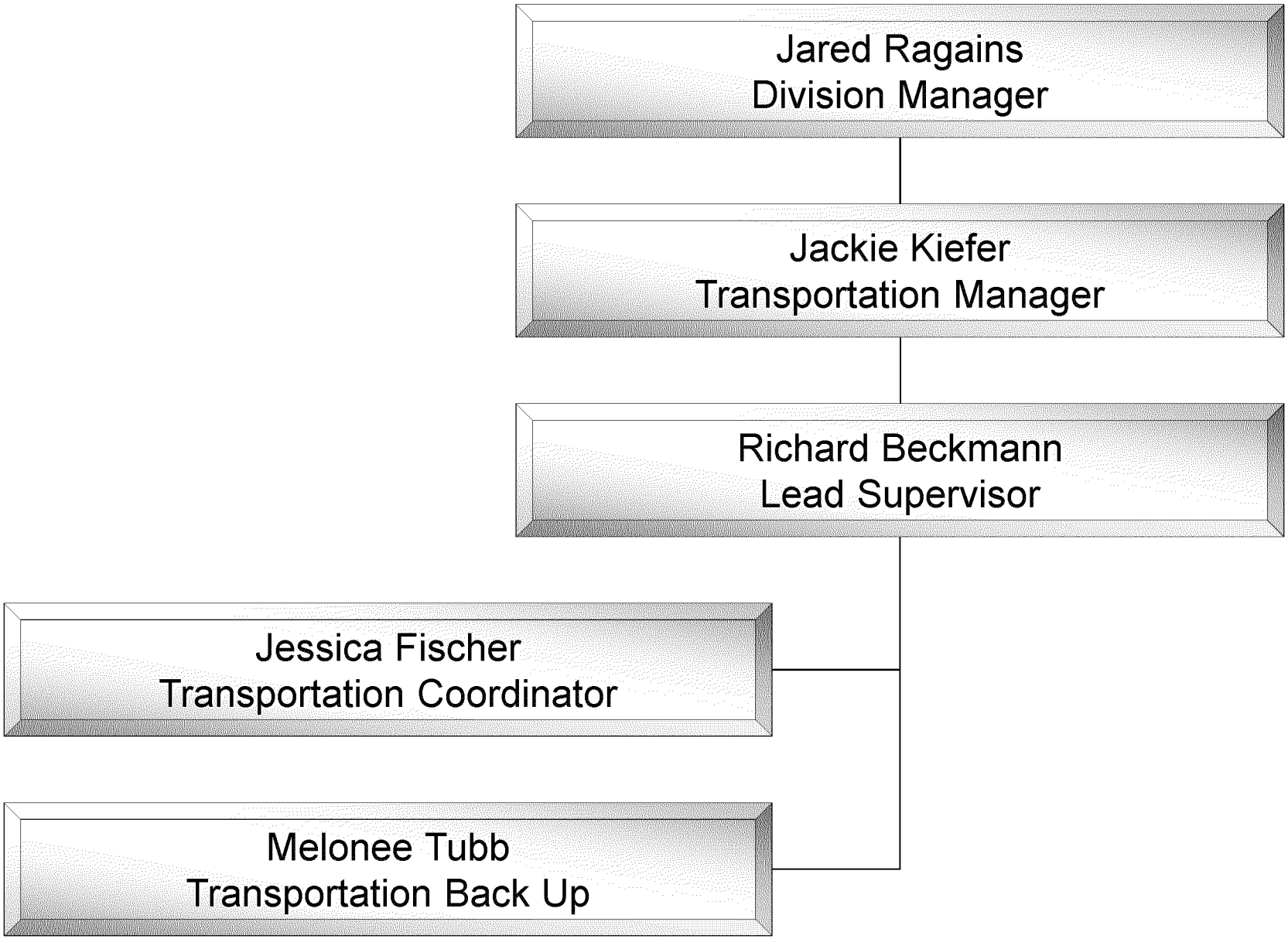
UPS Transportation – ENDO

Business Review 2013

March, 2014

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Organizational Chart



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

2013 Transportation Review

Looking Back

ABC Tracking

- Started tracking all ABC Shipments in August to ensure on time delivery per ABCs delivery requirements.
- There were 40 shipments that delivered past the ABC Lead Times – 20 of these were late due to uncontrollable exceptions.
- On-Time Percentage: 99.35%

Looking Forward

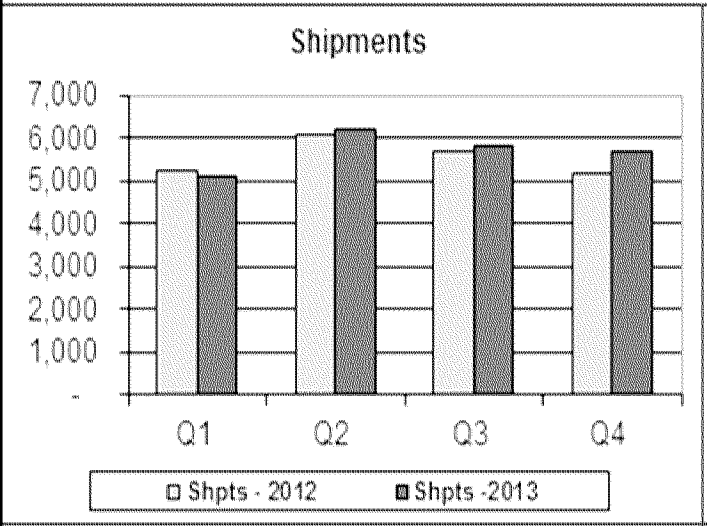
New Truckload Business

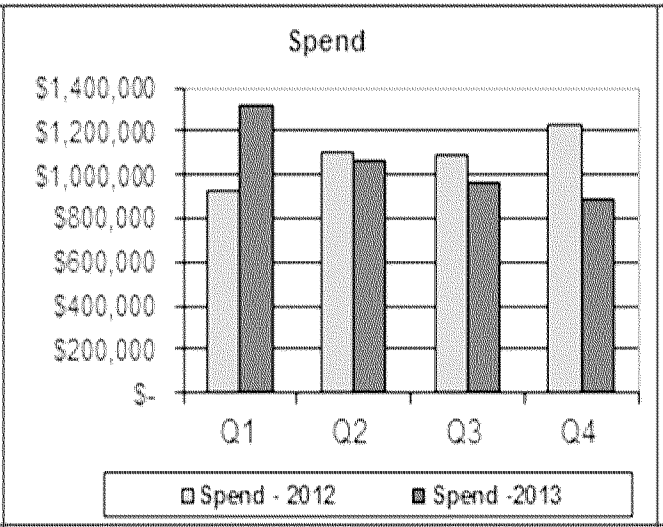
- Scheduling approximately 100 trailers round trip between Allentown, PA and Easton, MD.

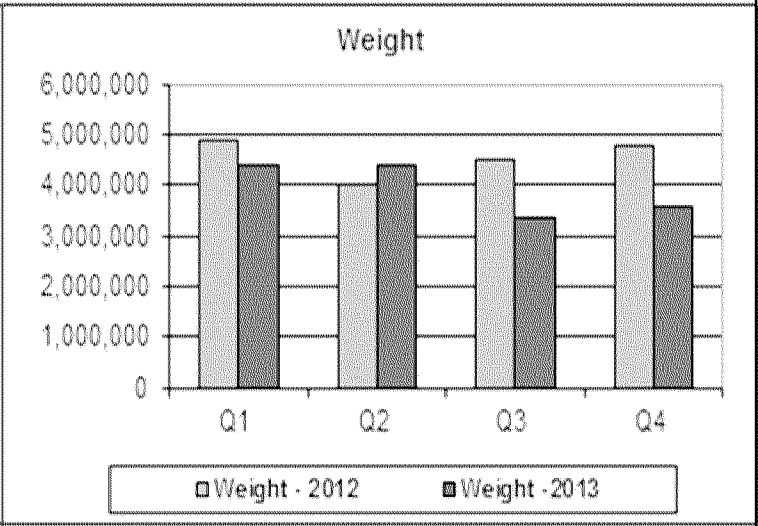
Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

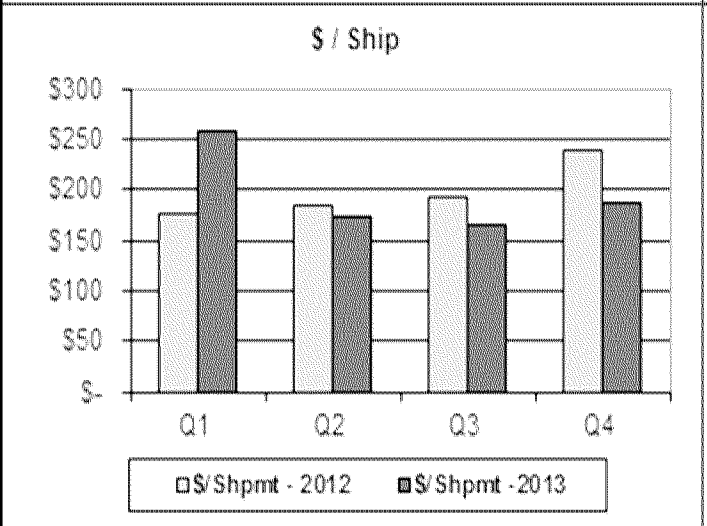
2013 Dashboard Review

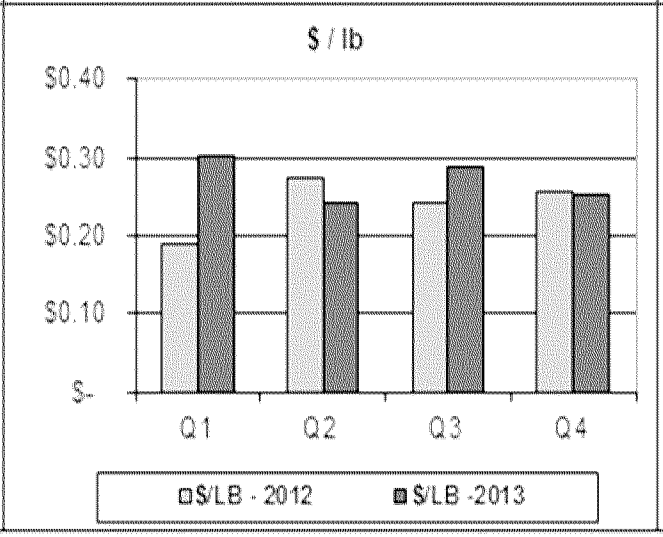
Q1 2013 had almost double the Air Freight shipments as the following Quarters causing the spend to increase.

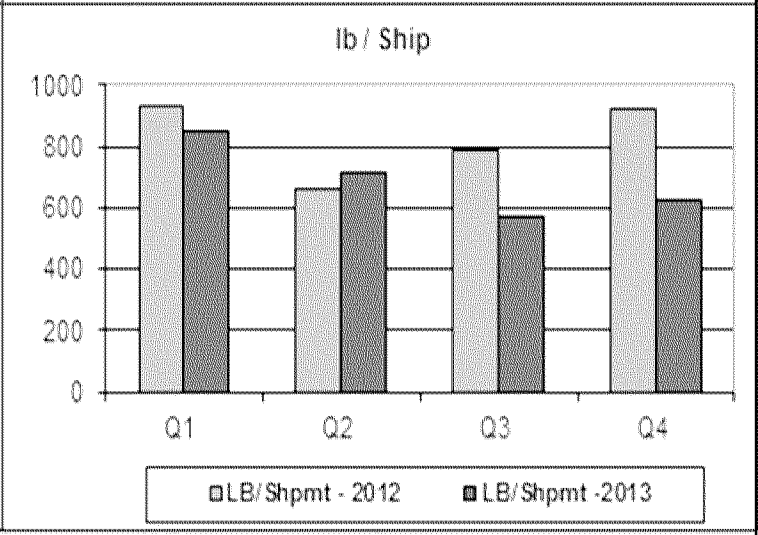






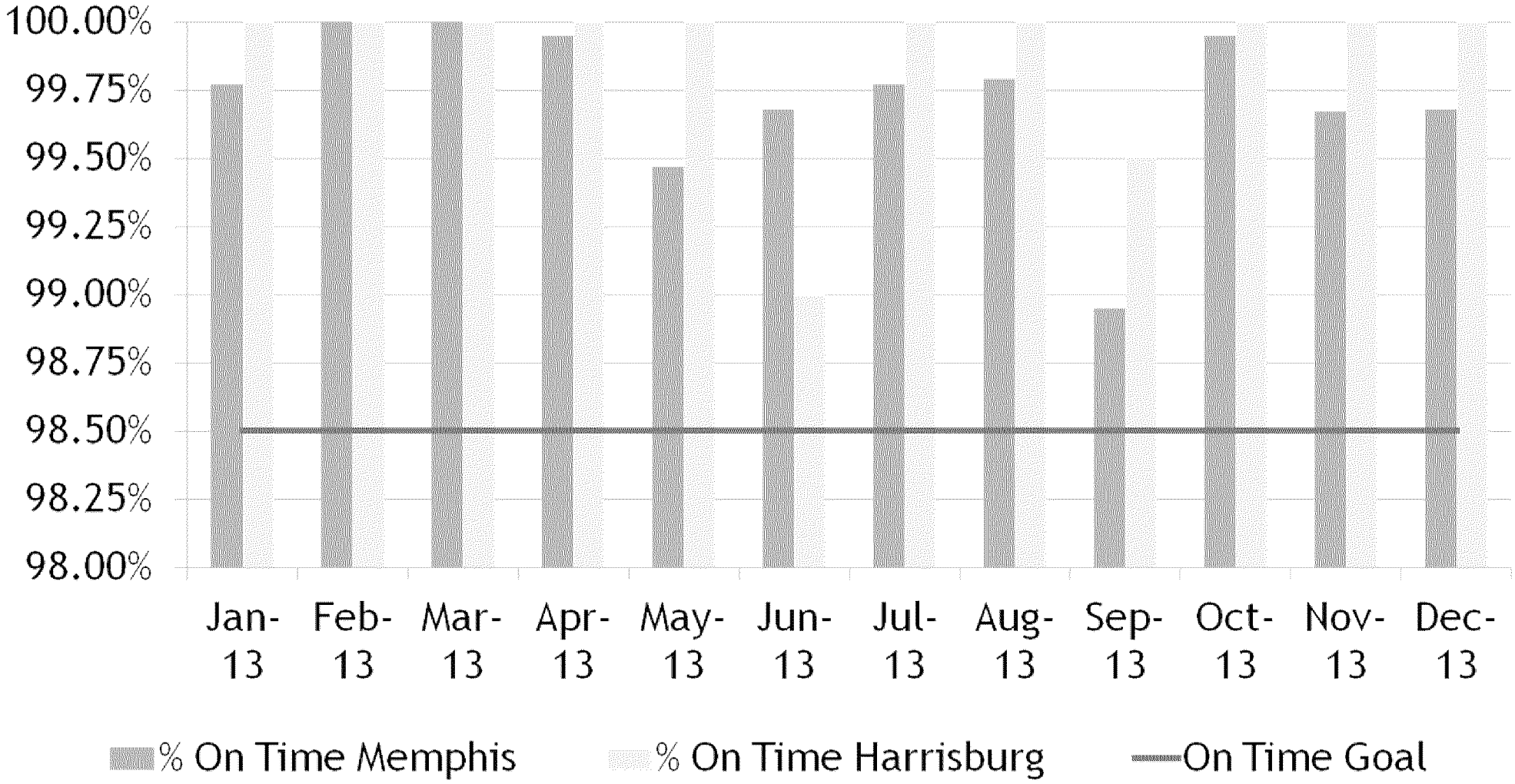






Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

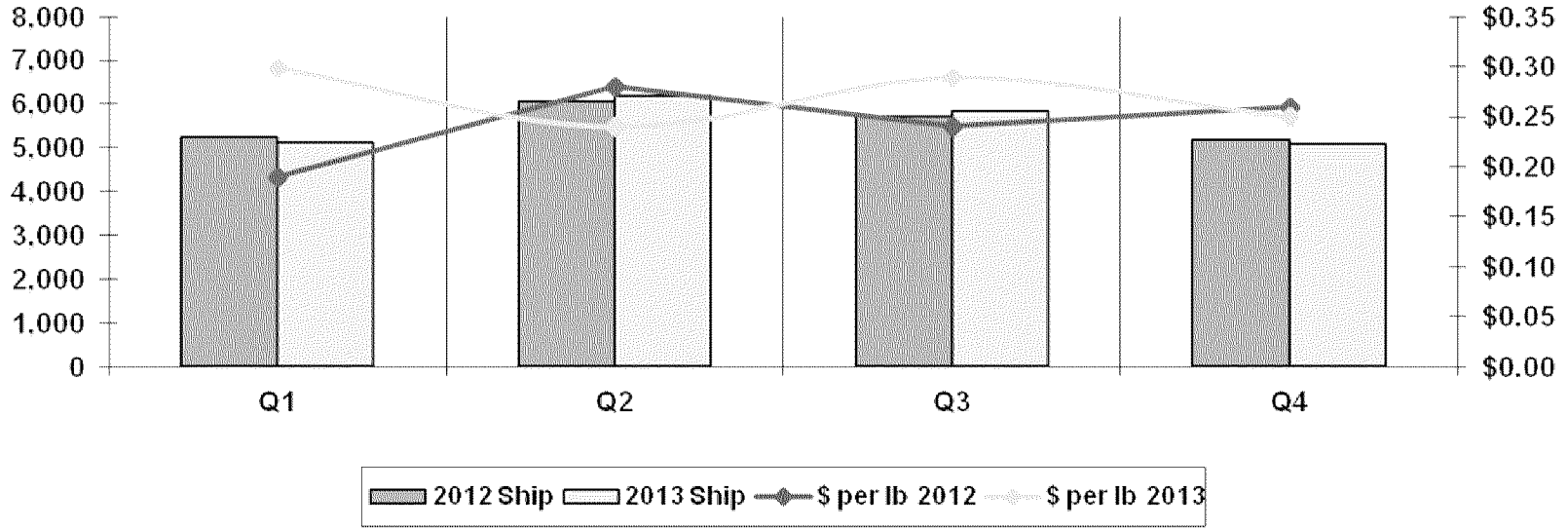
2013 Carrier On Time Performance



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

2013 Shipment Stats by Mode – Total

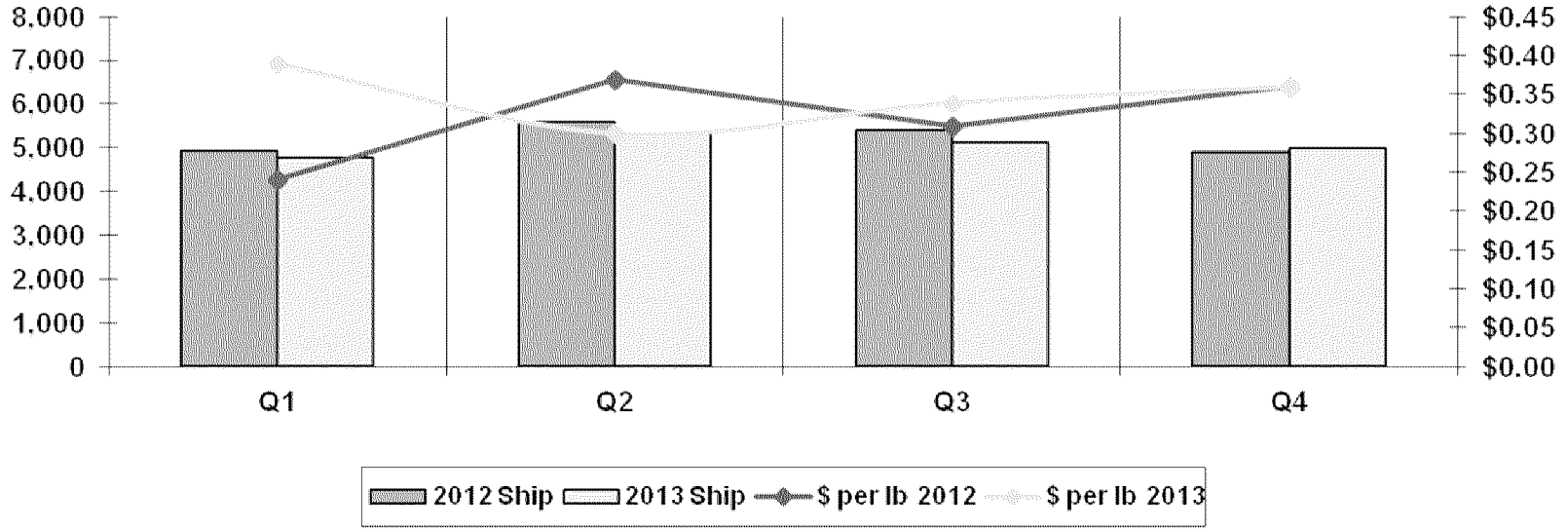
Carrier	Shipments	Spend	$ per lb
UPS Small Package	19,056	$ 1,190,677.75	$ 3.77
Less Than Truckload	2,144	$ 428,520.81	$ 0.18
Air Freight	1,160	$ 1,797,054.72	$ 1.80
Truckload	486	$ 839,359.12	$ 0.07
Grand Total	**22,846**	**$ 4,255,612.40**	**$ 0.27**



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

2013 Shipment Stats by Mode – Memphis

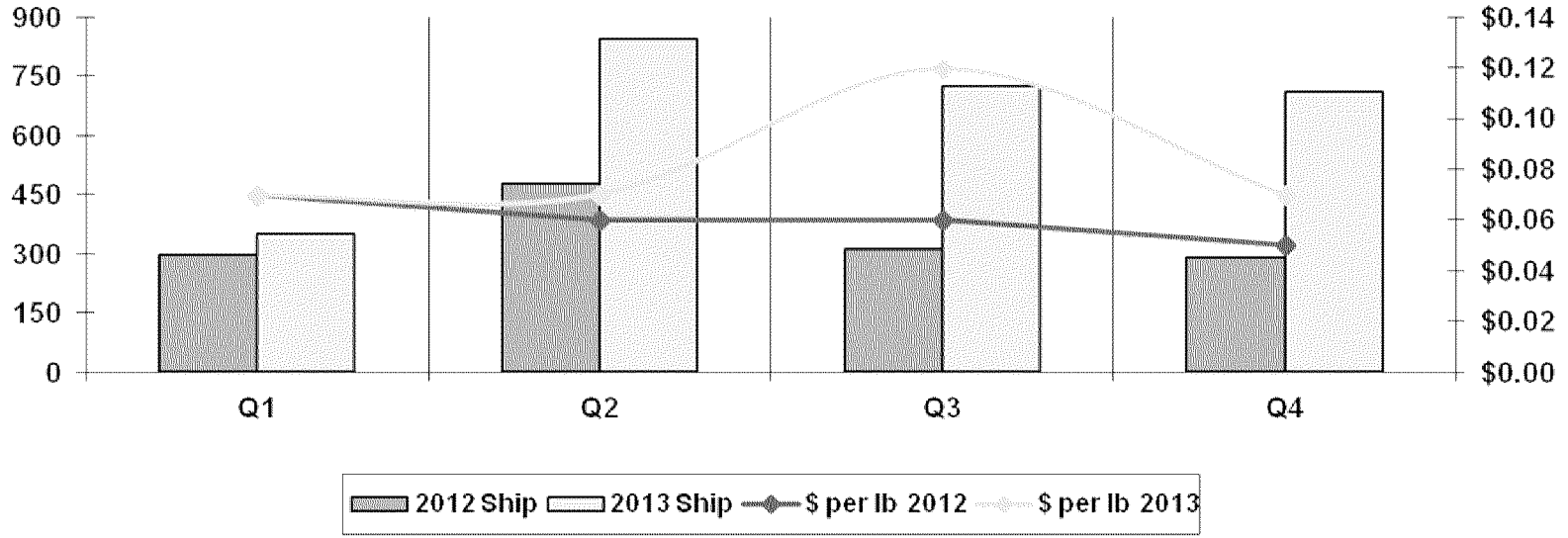
Carrier	Shipments	Spend	$ per lb
UPS Small Package	17,643	$ 1,170,037.24	$ 3.97
Less Than Truckload	1,067	$ 238,304.48	$ 0.18
Air Freight	1,144	$ 1,762,066.43	$ 1.80
Truckload	361	$ 727,505.40	$ 0.08
Grand Total	**20,215**	**$ 3,897,913.55**	**$ 0.35**



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

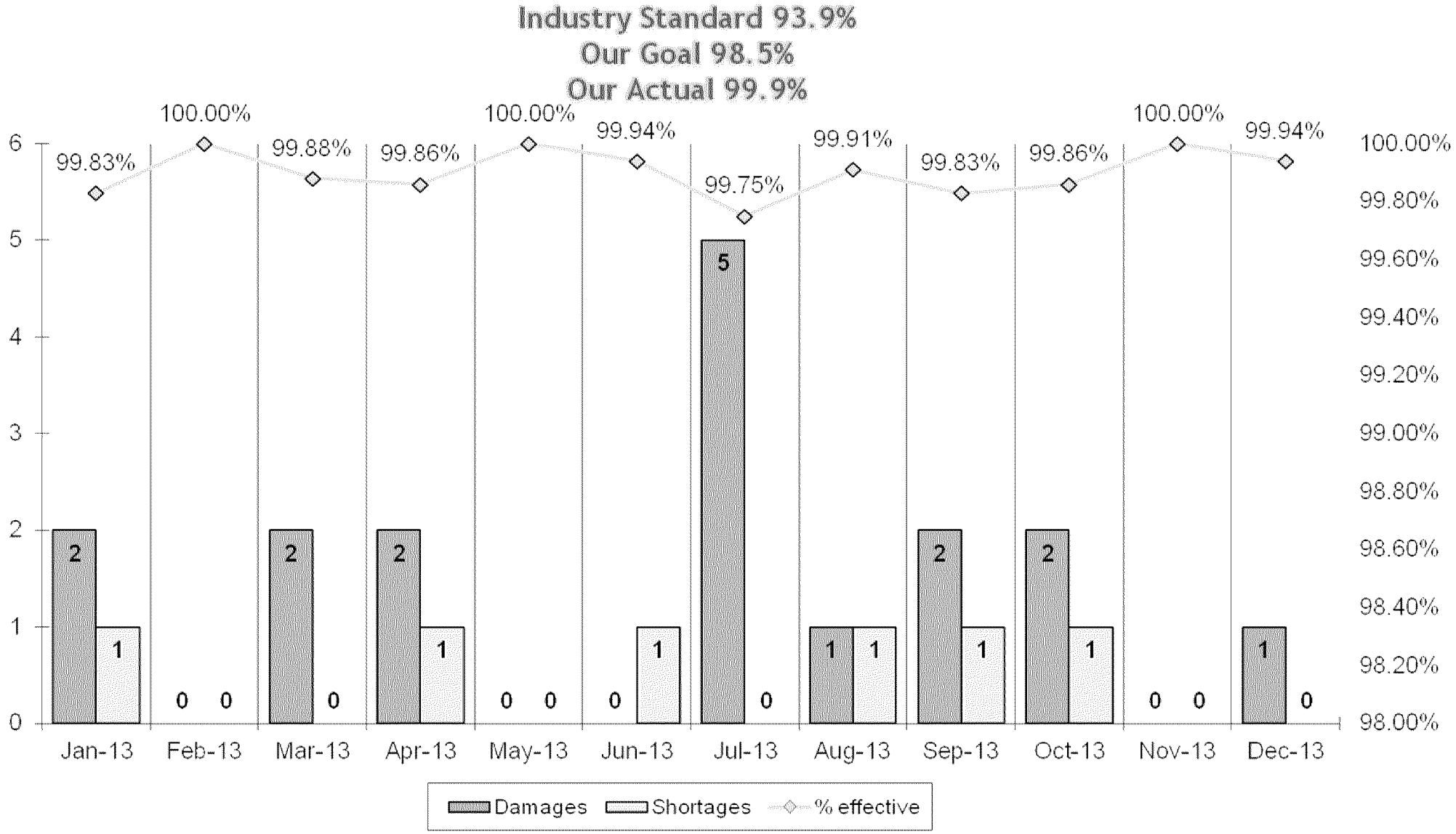
2013 Shipment Stats by Mode – Harrisburg

Carrier	Shipments	Spend	$ per lb
UPS Small Package	1,413	$ 20,640.50	$ 1.00
Less Than Truckload	1,077	$ 190,219.33	$ 0.18
Air Freight	16	$ 34,988.30	$ 1.97
Truckload	123	$ 107,749.74	$ 0.03
Grand Total	**2,629**	**$ 353,597.87**	**$ 0.08**



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

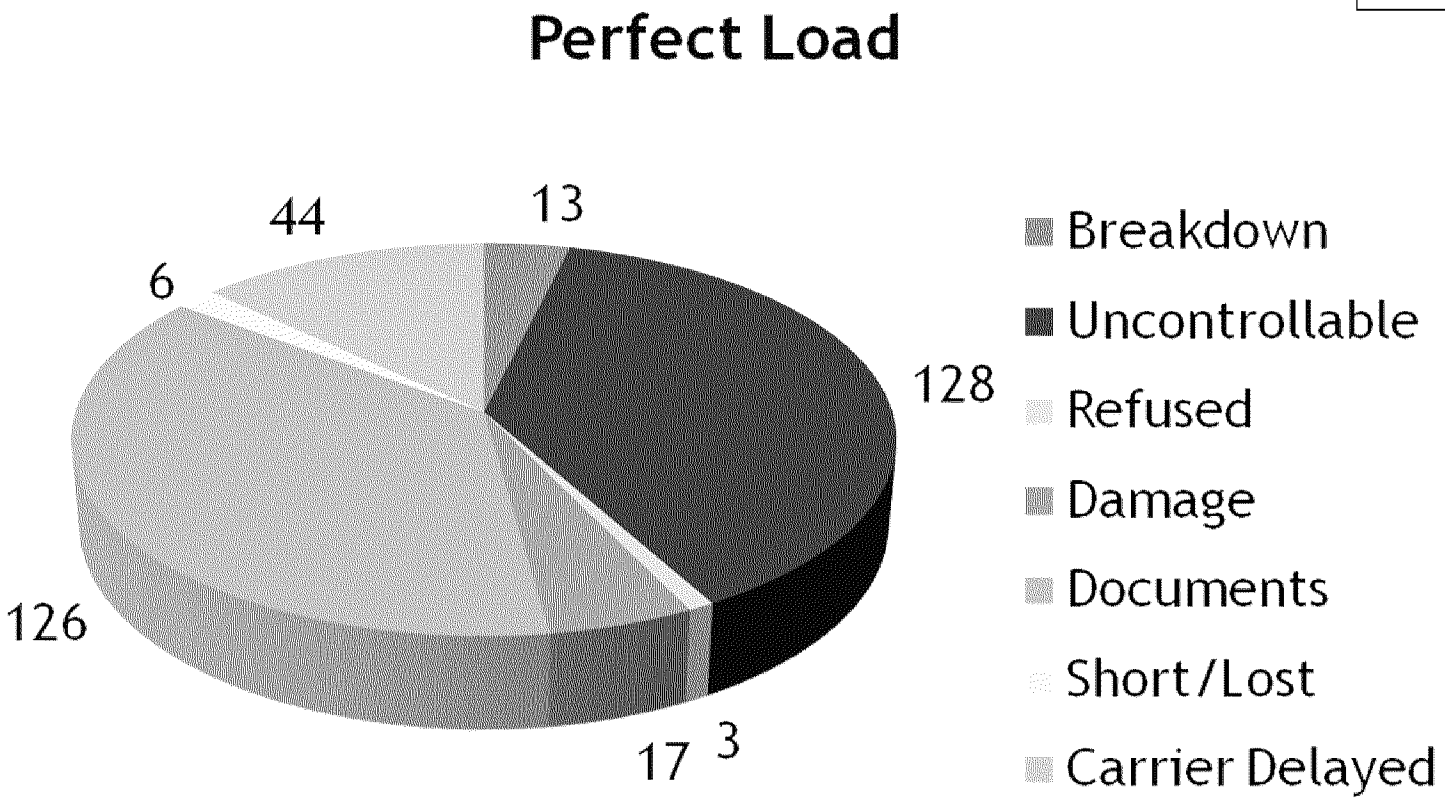
2013 Shipment Statistics – Damages and Shortages



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

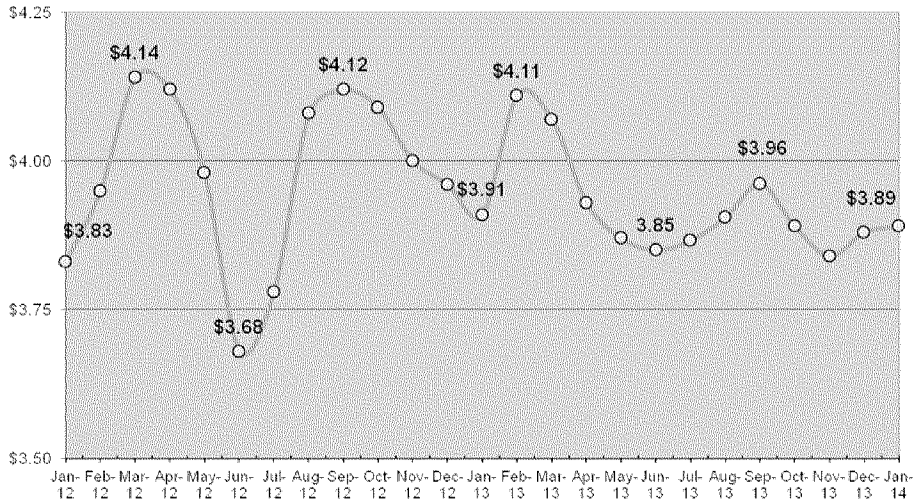
2013 Perfect Load

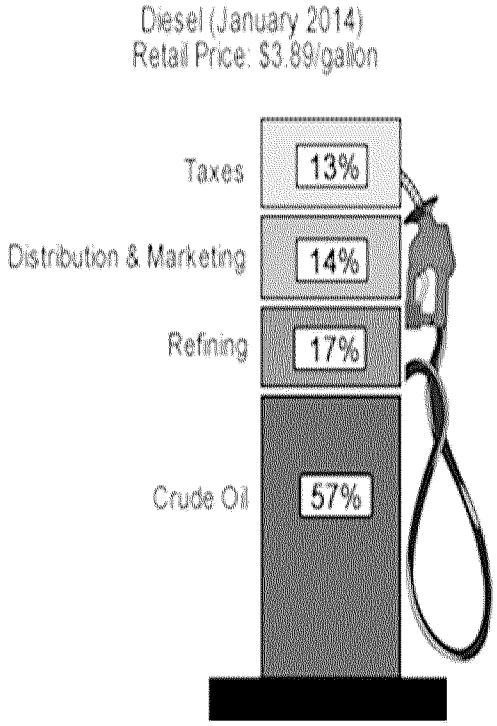
Total Shipments: 22,846
Total Exceptions: 337
DPE: 67.79
Effective: 98.52%



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

National Historic Diesel Prices





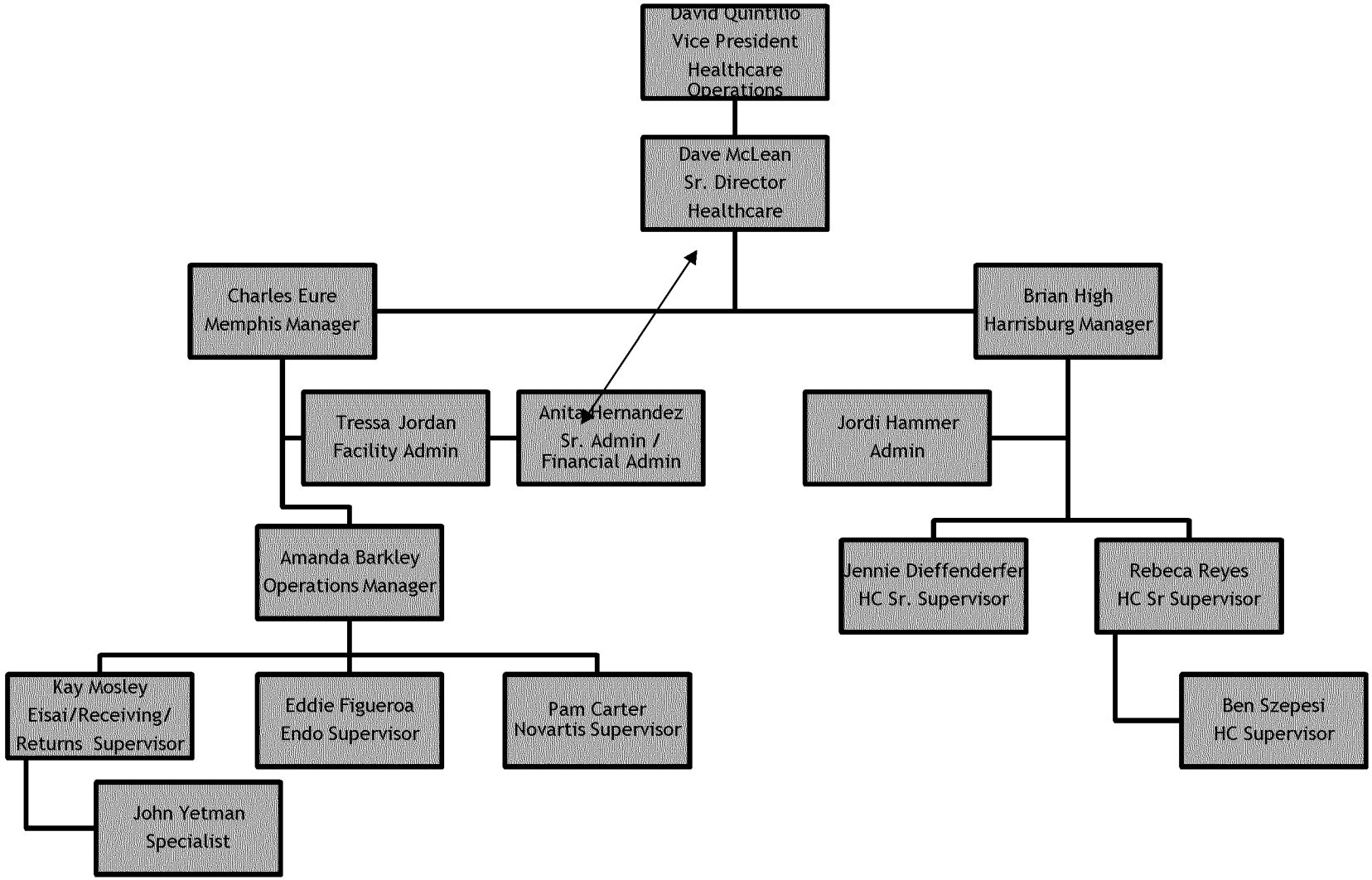
UPS Distribution - ENDO

Business Review 2013

March, 2014

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

UPS Domestic Healthcare Org Chart



Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Endo Executive Summary – Memphis and Harrisburg DC's

Highlights

- Hazmat shipments- assisted Endo with the change from Class III to Limited Quantity due to government changes
- Huntsville- created ambient overflow space
- ANDA – picked specific lots and arranged transportation
- Deloitte and Touche- passed successful year end audit
- Quarter End Push- worked two Saturdays during heavy qtr end volume activity
- Opana Returns- Special shipment to Sharp (created 222 forms).
- Endo's SAP upgrade – worked Saturday to catch up before implementation.

Challenges

- ABC Orders- customer changed distribution strategy from multi DC to centralize inbound processing
- WS Implementation scheduled in August

Implementations

Redacted - Non-Opioid Product

- Started Inspection and Sample Process in September

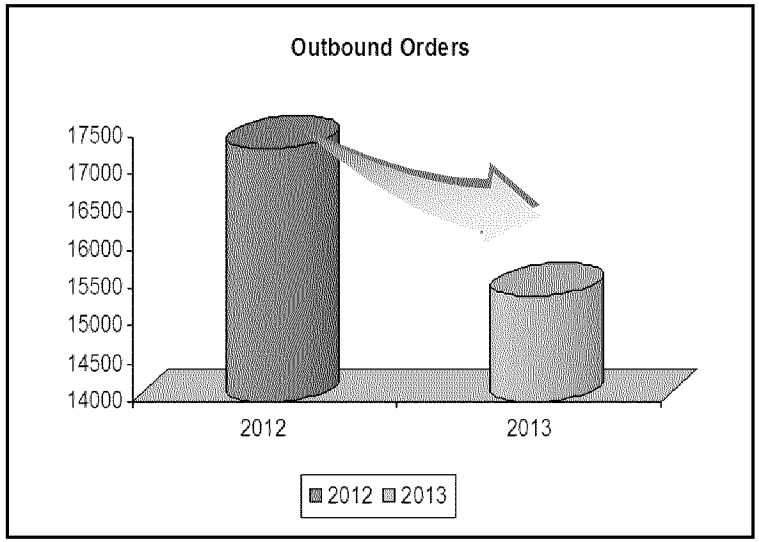
Redacted - Non-Opioid Product

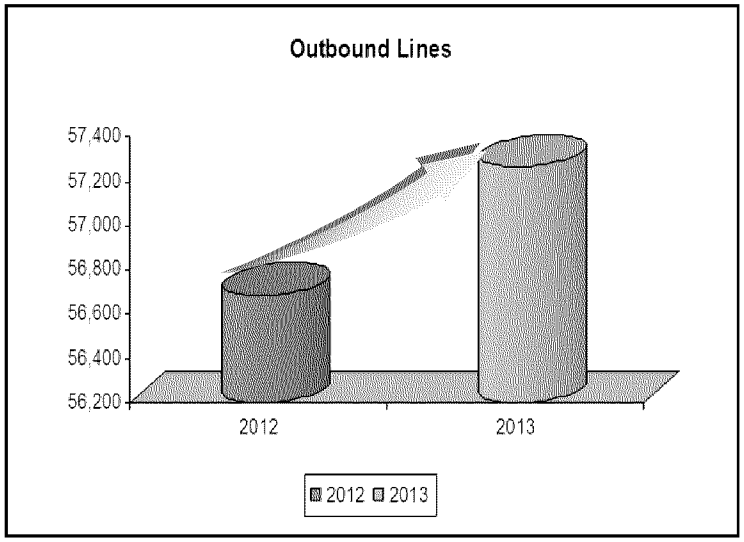
Opportunities

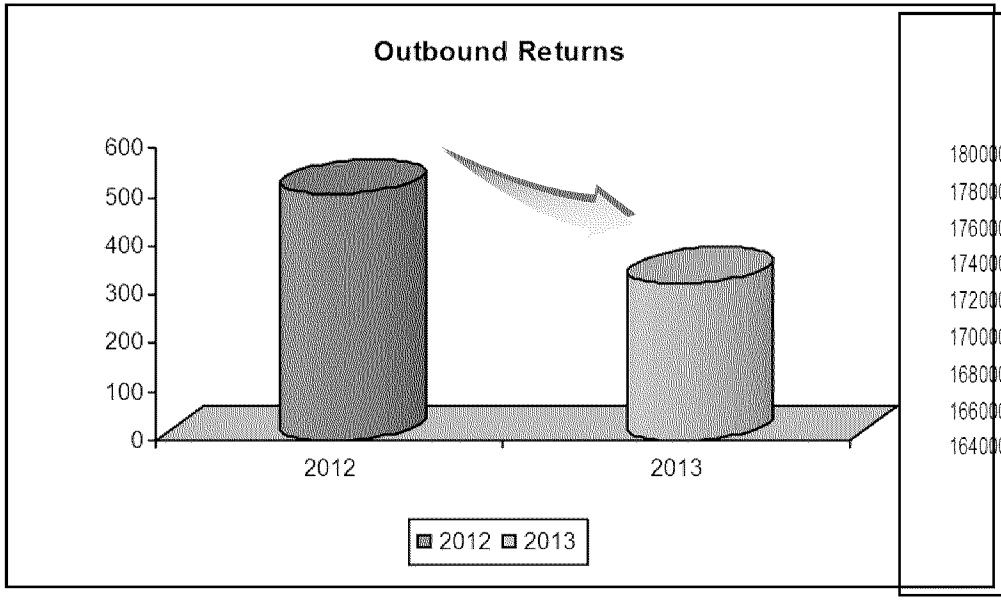
- Cage expansion- creating more than 600 pallet positions of DEA CIII-CV space.
- Cold Chain packaging opportunity
- GWS Implementation- Cardinal pallet content labels
- McKesson Label project

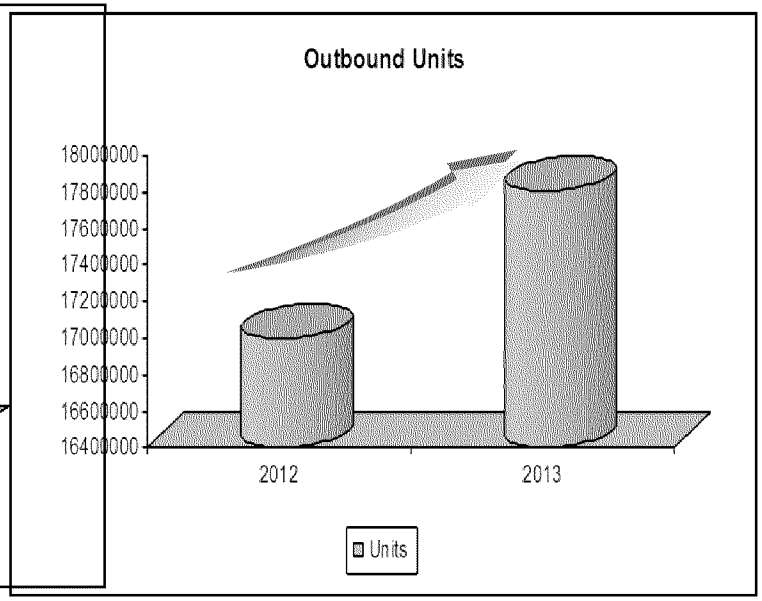
Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

2012 vs. 2013 Comparison - Memphis





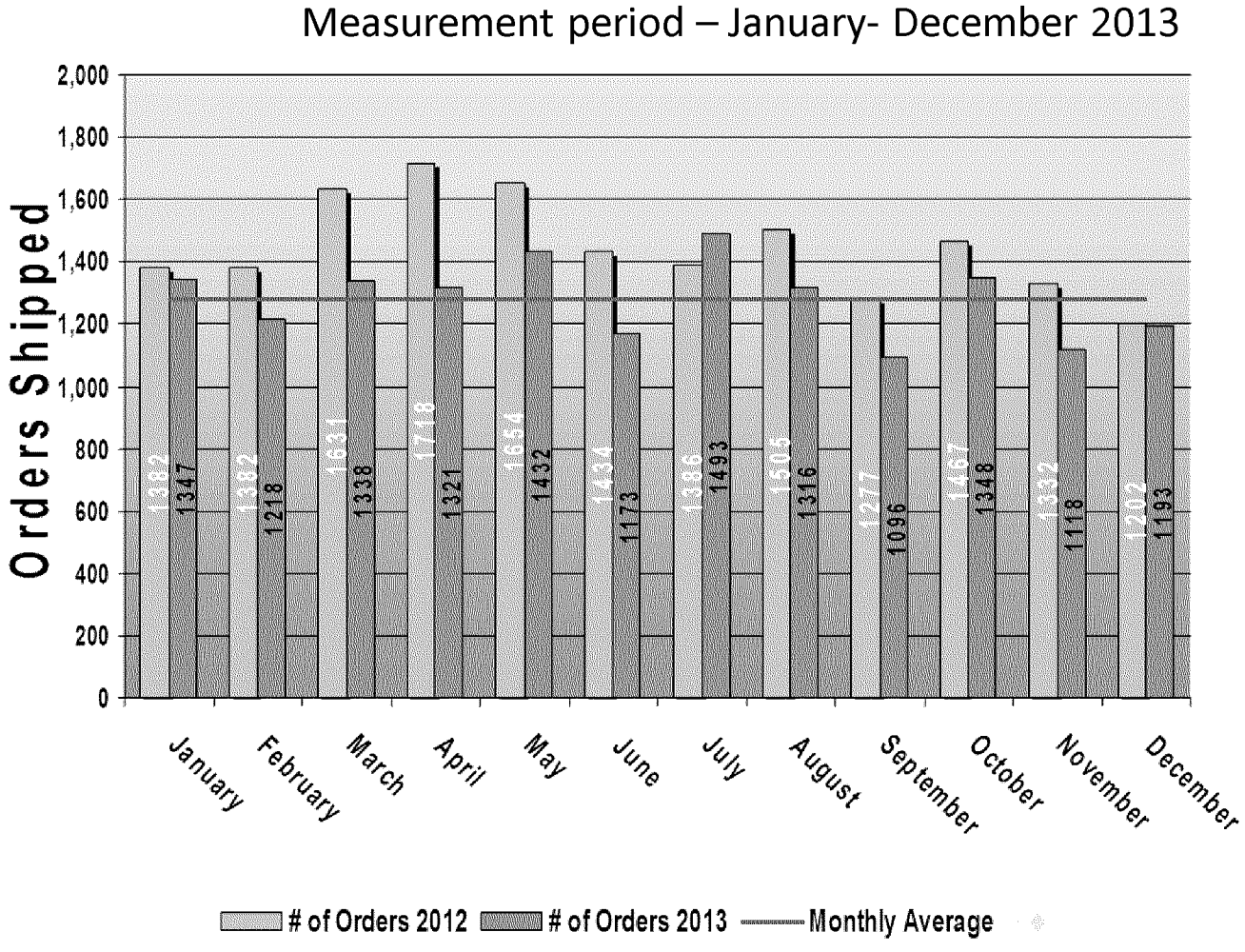




Measurement period – January through Dec

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Memphis Total Orders Shipped



2012 Monthly Average = 1,445

2013 Monthly Average = 1,283

Orders Shipped on Time Average = 100.00%

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

KPI's - Memphis

Service Performance Snapshot

Ref	Element	Goal	KPI	Q1 2012	Q2 2012	Q3 2012	Q4 2012	Q1 2013	Q2 2013	Q3 2013	Q4 2013	YTD 2013
Contractual KPI	Order Accuracy	100%	99.80%	99.96	99.96	99.88	99.95	99.98	100	99.97	99.92	99.95
Contractual KPI	On-time Shipping Performance	100%	99.50%	100	99.88	100	99.97	100	99.95	100	100	99.98
Contractual KPI	Inventory Accuracy	100%	99.00%	99.92	99.996	99.999	99.92	100	99.86	99.996	99.94	99.95
Contractual KPI	Returns Processed Timely	100%	100%	100	100	100	100	100	100	100	100	100

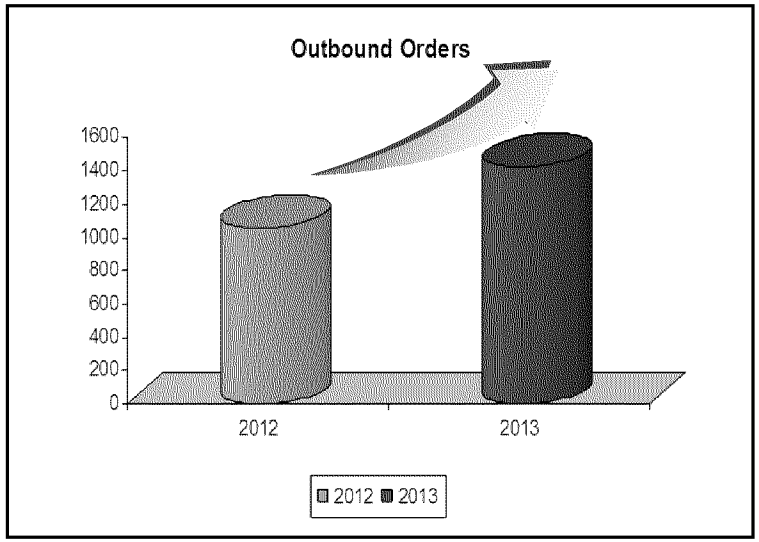
Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

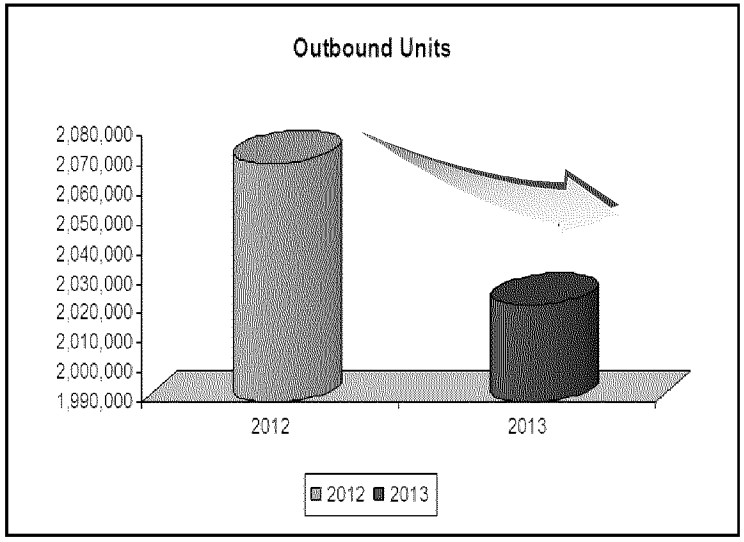
Memphis DC Error Recap
Error Summary
January – December 2013

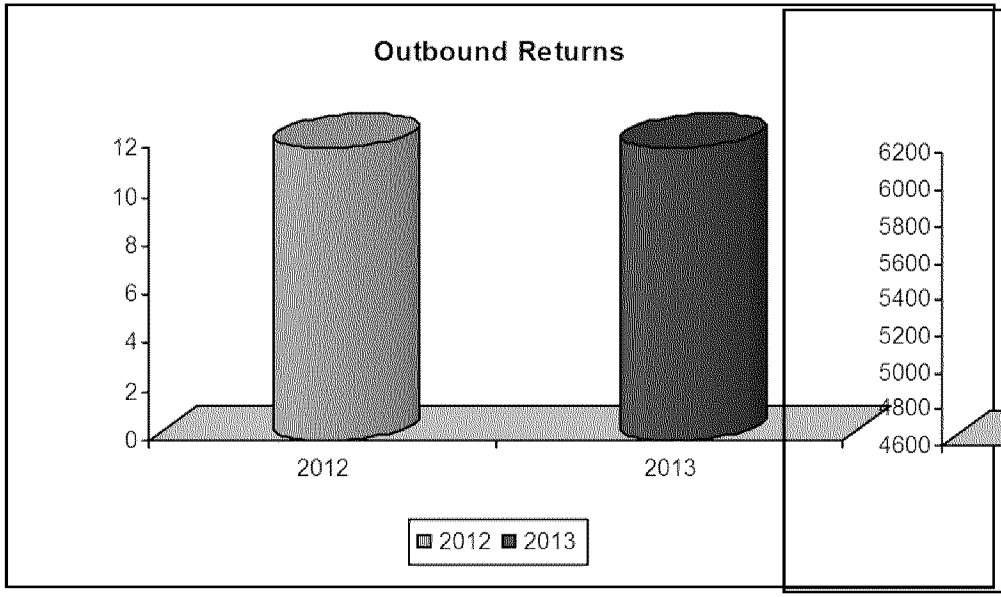
Month	Warehouse Errors	Orders	Lines	Units	Total DC Errors / Total Orders
January	1	1,347	4,575	1,156,299	99.93%
February	0	1,218	4,133	919,751	100.00%
March	0	1,338	5,432	2,203,299	100.00%
April	2	1,321	4,948	1,216,805	99.85%
May	1	1,432	5,392	1,492,023	99.93%
June	0	1,173	4,637	1,437,113	100.00%
July	0	1,493	5,472	1,931,208	100.00%
August	1	1,316	6,022	1,591,809	99.92%
September	0	1,096	3,882	1,286,963	100.00%
October	2	1,348	4,337	1,282,011	99.85%
November	1	1,118	4,106	1,672,719	99.91%
December	0	1,193	4,332	1,618,943	100.00%
Total:	**8**	**15,393**	**57,268**	**17,808,943**	**99.95%**

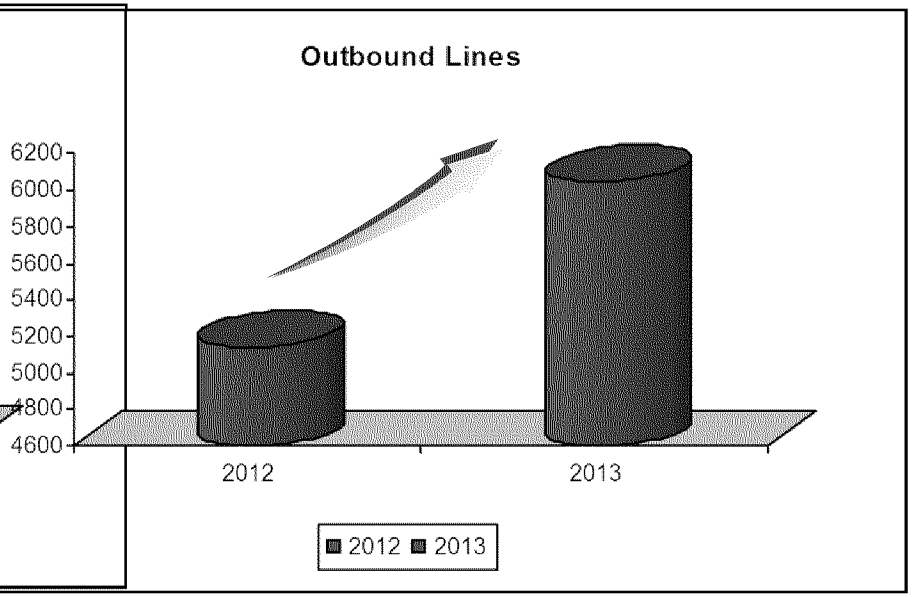
Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

2012 vs. 2013 Comparison - Harrisburg







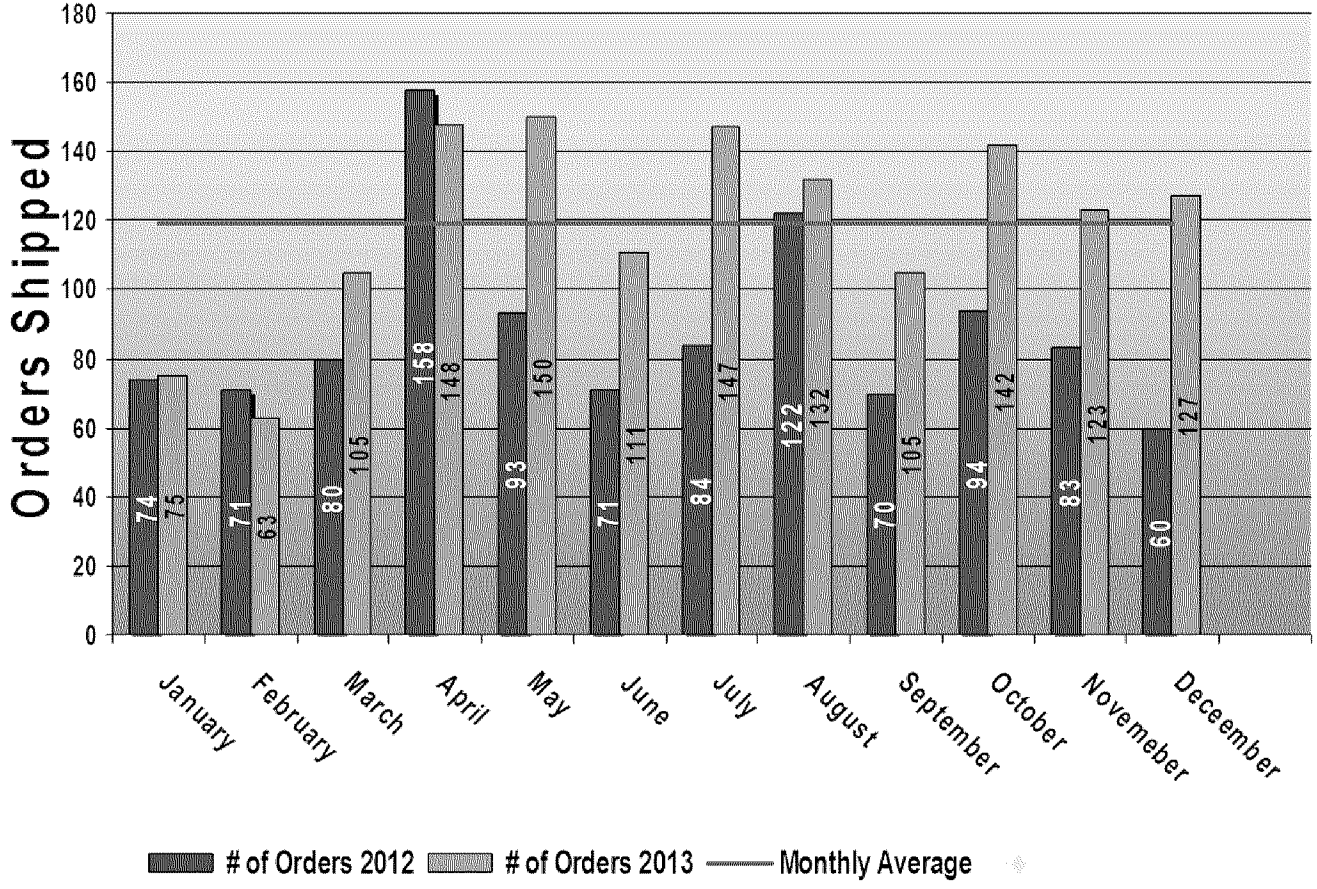


Measurement period – January through December

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Harrisburg Total Orders Shipped
2012 vs. 2013

Measurement period – January through December



2012 Monthly Average = 88

2013 Monthly Average = 119

Orders Shipped on Time Average = 100.00%

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

KPI's - Harrisburg

Service Performance Snapshot

Ref	Element	Goal	KPI	Q1 2012	Q2 2012	Q3 2012	Q4 2012	Q1 2013	Q2 2013	Q3 2013	Q4 2013	YTD 2013
Contractual KPI	On Time Receiving	100%	99.00%	100	100	100	100	100	100	100	99.9	99.99
Contractual KPI	Client Order Accuracy	100%	98.00%	100	100	100	100	100	100	100	100	100
Contractual KPI	Order Shipped on Time	100%	98.00%	100	100	100	100	100	100	100	100	100
Contractual KPI	Inventory Accuracy	100%	99.00%	100	100	100	100	100	100	100	100	100

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

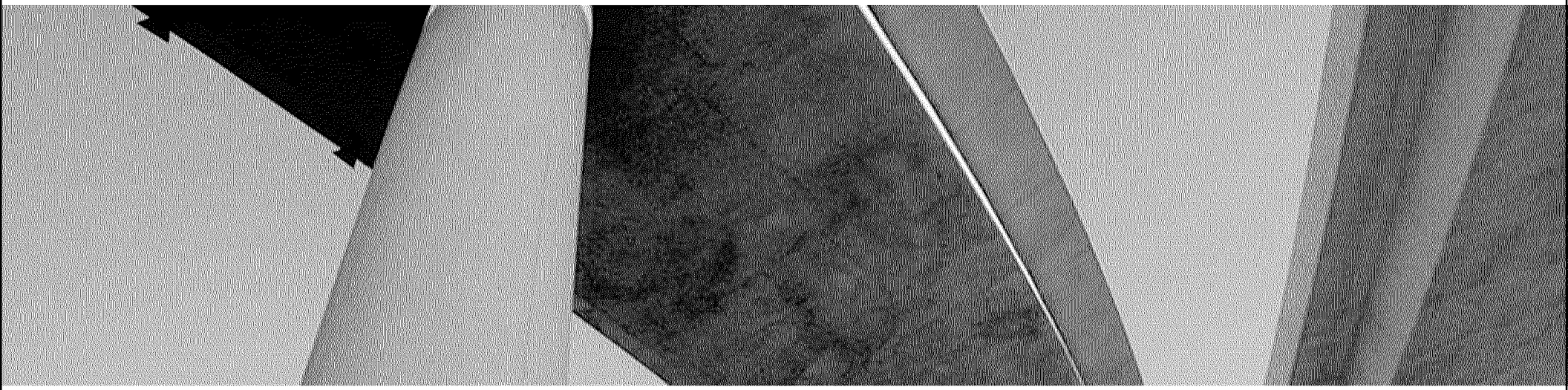
Harrisburg DC Error Recap
Error Summary
March– February 2013

Month	Warehouse Errors	Orders	Lines	Units	Total DC Errors / Total Orders
January	0	75	464	160,560	100.00%
February	0	63	366	121,856	100.00%
March	0	105	560	205,339	100.00%
April	0	148	662	228,419	100.00%
May	0	150	717	239,692	100.00%
June	0	111	653	236,216	100.00%
July	0	147	709	221,481	100.00%
August	0	132	473	148,860	100.00%
September	0	105	306	88,980	100.00%
October	0	142	369	131,458	100.00%
November	0	123	347	116,412	100.00%
December	0	127	425	123,740	100.00%
Total:	0	1,428	6,051	2,023,013	100.00%

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

UPS and Endo Pharmaceuticals

Building Our Strategic Partnership



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Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420



UPS Temperature True®

March 2014

Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

UPS Temperature True®

Assessing the pain in your temperature-sensitive supply chain

- Managing cost while staying compliant both at home and abroad can present daily challenges for you to:
  - Ensure your products arrive intact
  - Maintain 24/7 shipment visibility to prevent packout expiry before delivery
  - Stay up to date on multi-country healthcare and customs regulations and other laws affecting transportation of healthcare goods
  - Access the latest technology to protect your shipments from various vendors around the globe
  - Expand supply chains to emerging markets and manage multi-country providers, vendors and carriers
- Find a holistic global logistics partner who understands the complexity of your world



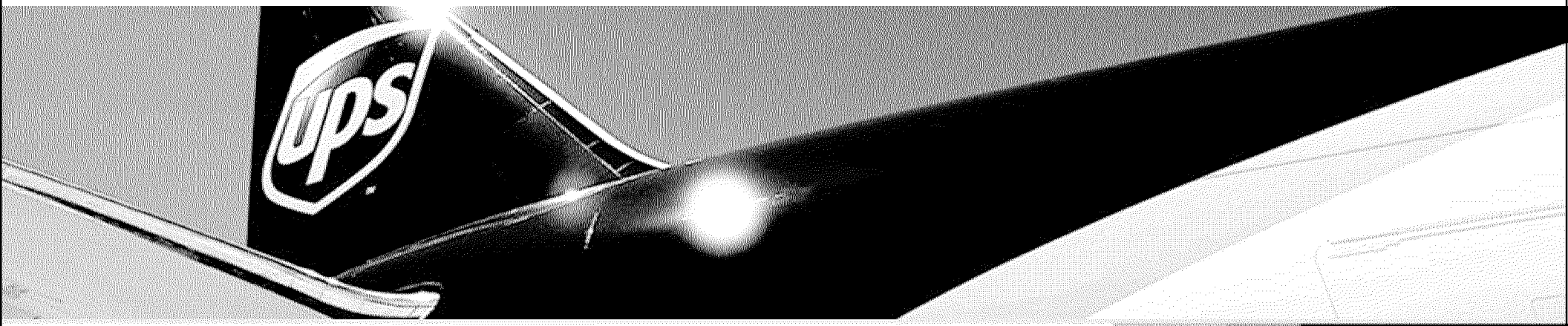
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Temperature True® Plus

When you shipments require the highest degree of control

- For biologics, vaccines and sensitive pharmaceuticals requiring tight temperature control to maintain stability, you need a robust process with the highest level of risk mitigation
- By partnering with qualified carriers that offer specialized pharma service, your shipments receive the expert care they require
- As an added layer of protection, we provide access to the latest technology in active containers and passive packaging
- And we provide proactive support along the way to make it easier to protect your products, like container preconditioning and repositioning, re-icing and battery replenishment



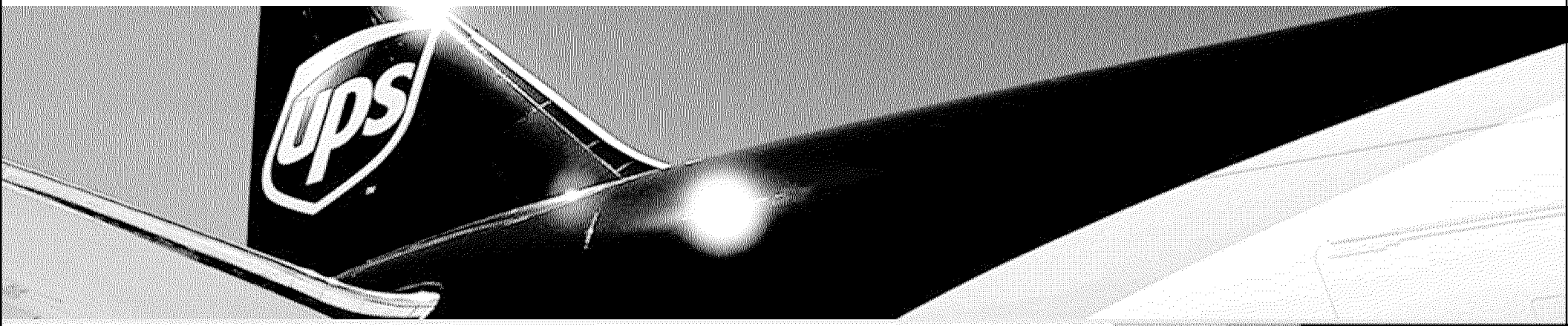
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Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Temperature True® Plus

When you shipments require the highest degree of control

- Our experienced healthcare control towers actively monitor shipments from the first pre-alert that a temperature-sensitive product is entering our system through the final destination, and every critical milestone in between
- Immediate intervention begins if there is any indication of a potential shipment
  in distress
- Robust contingency plans include: preselected redundant flight routings, access to on-airport cold storage areas to extend packouts in case of delay, container re-icing, and documented escalation paths



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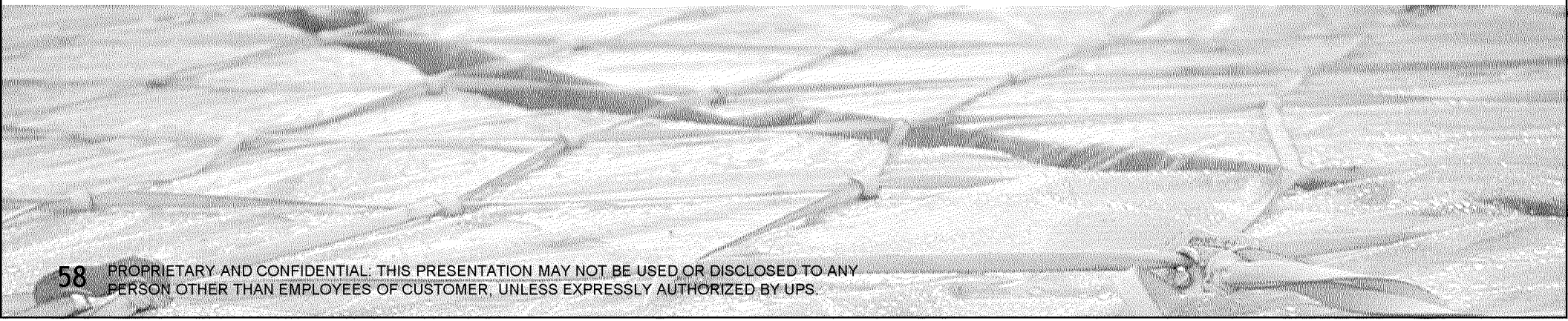
Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Temperature True® Standard

When timing is simply everything

- For robust pharmaceuticals, consumer health products, nutraceuticals and more with stability data and/or passive packaging* that eliminate the need for added control, we monitor to ensure shipments arrive on-time
  - You tell us when your pack-out expires and we find the optimal routing through our preferred providers
  - Our global control towers monitor milestones to enable shipments travel unimpeded
- The same healthcare experts in control towers, solutions, implementations and quality follow a single Global Master Operating Plan to deliver reliable results

**Active containers and some passively packed shipments with tight transportation temperature requirements are not accepted on UPS Temperature True Standard"*



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Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Temperature True® Standard

When timing is simply everything

- For added control we offer additional services including:
  - Freight pickup and delivery in refrigerated vehicles to extend packout expiration
  - Expert clearance and last mile delivery to help avoid destination delays
  - Contingency options for unavoidable delays including:
    - Shipment rescue or rerouting
    - Prearranged temporary storage in a controlled environment (where available)
  - Access to the latest options in passive thermal control packaging
  - Help qualifying lanes and temperature profiling studies

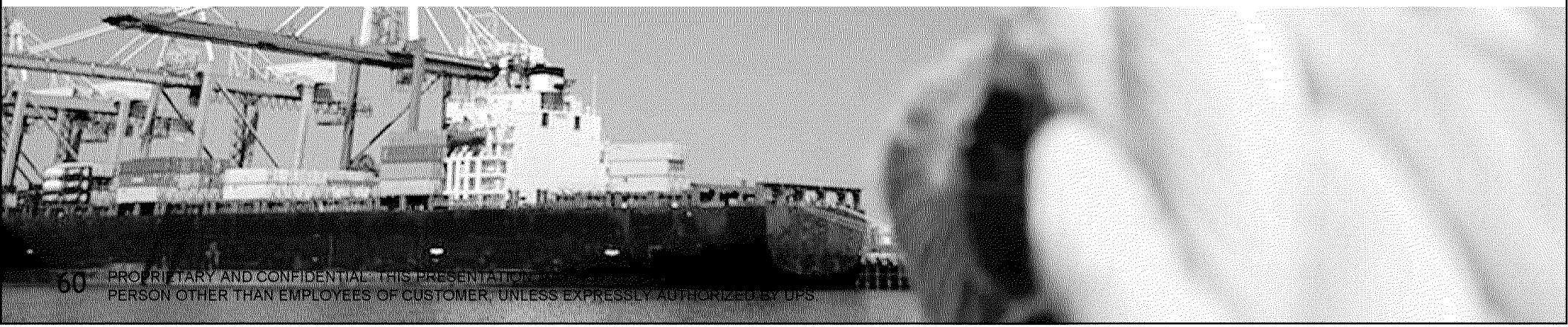
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Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Temperature True® Saver – New for 2014

When cost is priority

- Because global expansion and cost containment are challenging you to move high volume shipments overseas while managing your supply chain budget, we are developing a new level of service to meet this challenge
- Currently in pilot, UPS Temperature True Saver will offer:
  - Global carrier relationship management to ensure your shipments receive the attention and level of support they require
  - Access to reefers to support temperature controlled shipments
  - Inland pickup and delivery of containers, and repositioning empty containers to the ports
  - Customs clearance for expedited release
  - Support from trained personnel on global procedures designed to mitigate risk
  - 24x7x365 shipment milestone tracking



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Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420

Endo/UPS next steps

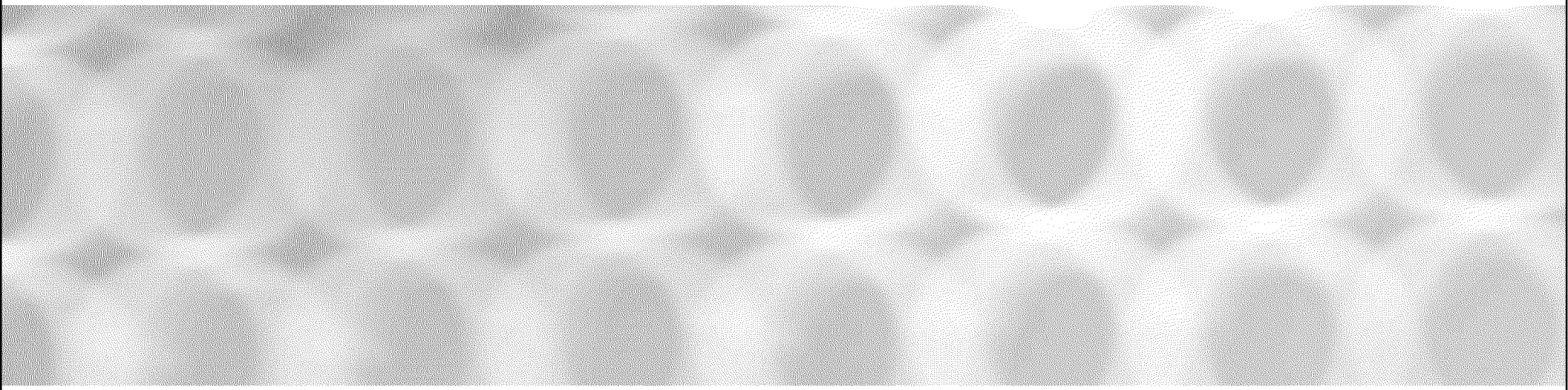
Distribution & Transportation timeline & discussion

Facility	Total Facility Squarefootage Capacity	Occupied	Available	% Utilized	Ambient AC Squarefootage Capacity	Occupied	Available	% Utilized	Ambient Non-AC Squarefootage Capacity	Occupied	Available	% Utilized
Harrisburg HC	324,000	161,571	159,529	49.87%	155,198	66,152	73,325	42.62%	162,316	91,833	86,204	56.58%
Memphis	204,094	166,573	37,521	81.62%	176,939	143,092	33,847	80.87%	0	0	0	0.00%
Reno	63,330	63,330	0	100.00%	55,940	55,940	0	100.00%	0	0	0	0.00%
Stead HC	125,188	29,248	95,940	23.36%	94,186	29,248	64,938	31.05%	28,544	0	28,544	0.00%
TOTAL	**2,848,041**	**1,995,671**	**829,077**	**70.07%**	**2,409,328**	**1,709,459**	**684,148**	**70.95%**	**190,860**	**91,833**	**114,748**	**48.12%**

- Meeting March 20th with Qualitest; discussion
- Go live with transportation by end of first quarter; update.
- Pull all transportation numbers (current small pkg) under trans mgmt; update
- System discussion on Huntsville using GWS; discussion
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Source: https://www.industrydocuments.ucsf.edu/docs/ttyb0420



Thank you

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